

PART 1

FOUNDATION CONCEPTS

CHAPTER 2

GLOBALIZATION OF MARKETS AND THE INTERNATIONALIZATION OF THE FIRM Instructor's Manual by Marta Szabo White

I. LECTURE STARTER/LAUNCHER

The Value Chain concept is central to this chapter. To ensure that students understand this concept, you might start the chapter with a basic example. Project the basic value chain model on the screen, and select a simple business. How about shoes, or laptop computers, or automobiles? Suppose you manufacture one of these products. Next, proceed step by step through the model from research and development; to procurement (sourcing raw materials); to manufacturing; to marketing; to distribution; to sales and service. Follow each activity and commensurate value that is added at each step along the way. Now consider locating each one of those activities in a different country, if it is more efficient to do so. If you don't want to create an example, you can always use the examples in **Exhibit 2.6**.

Useful tools for introducing this chapter include the following:

[1] The End of Globalization (and the beginning of something new)

Published on Dec 7, 2020

TED2020

Speaker: [Mike O'Sullivan](#)

Mike O'Sullivan, author, economist, and investor, postulates that the 30-year era of globalization is now over and that we are entering a new, uncertain—but increasingly values-driven—world order.

https://www.ted.com/talks/mike_o_sullivan_the_end_of_globalization_and_the_beginning_of_something_new?language=en

13.27 Minutes

[2] The Global Business Next Door

Published on Oct 30, 2015

TED@UPS

Speaker: **Scott Szwast**

Scott Szwast has spent the last 25 years supporting international transportation. For 10 of them, he worked with an ocean freight line, helping to import and export goods. The last 15 years he has spent with UPS, deep-diving into distribution, transportation, technology, trade compliance, and the countless other aspects of cross-border trade. Today, he is a marketing director for UPS, where he works closely with companies

expanding into new markets, understanding and supporting their needs, and developing solutions to support them.

https://www.ted.com/talks/scott_szwast_the_global_business_next_door

10.09 Minutes

[3] Globalisation of Production & Globalisation of Markets

Published on Oct 28, 2015

Copyright Carol Woods

This video discusses globalization in terms of market and production globalization.

<https://www.youtube.com/watch?v=PaXSuucl5ec>

3.53 Minutes

[4] Globalization & Assessing Global Markets for Potential Entry

Published on Oct 25, 2012

Copyright Mark Wolters 2012

This video discusses globalization and variables to evaluate when considering entering different markets.

<https://www.youtube.com/watch?v=2yVMnuhYp4c>

11.36 Minutes

[5] Connecting You to Global Markets

International Trade Administration

Published on Feb 11, 2014

The U.S. Commercial Service hosts regional conferences for small and mid-sized companies interested in starting or expanding international sales.

<https://www.youtube.com/watch?v=PR269o7s66M>

9.41 Minutes

[6] Diversity and Globalization: James Sun at TEDxBayArea Ignite

Published on Dec 22, 2012

James Sun is an entrepreneur, public speaker, and international television personality. Currently, he is CEO of Pirq where he sets and leads the overall business strategy, communication, and execution.

https://www.youtube.com/watch?v=Q-K_bYQ11DE

16.54 Minutes

[7] Kjell Nordstrom: International Business Thought-Leader, Best Selling Author, Keynote Speaker

Published on Jul 17, 2013

Dr. Kjell A. Nordström has 20 years of experience of working as an advisor/consultant to several large multinationals throughout the world, speaks on globalization and information technology.

<https://www.youtube.com/watch?v=FBZiYq712Qw>

6.00 Minutes

[8] If the World Were 100 People**Uploaded on Aug 23, 2017**

Examines the situation of the world as if it were a village of 100 people. Explains how the world would appear in terms of demographics, income levels, technology, education, health, and other such factors.

<https://www.youtube.com/watch?v=QFrgTFRy-LU>

2.27 Minutes

II. LEARNING OBJECTIVES AND THE OPENING VIGNETTE**LEARNING OBJECTIVES**

After studying this chapter, you should be able to do the following:

- 2.1 Understand market globalization as an organizing framework.
- 2.2 Learn the driving forces of globalization.
- 2.3 Understand the impact of technological advances on globalization.
- 2.4 Learn the dimensions of globalization.
- 2.5 Understand firm-level consequences of market globalization.
- 2.6 Understand the societal consequences of globalization.

Key Themes

■ In this chapter, there are six themes:

- [1] Market Globalization: Organizing Framework
- [2] Driving Forces of Globalization
- [3] Technological Advances and Globalization
- [4] Dimensions of Market Globalization
- [5] Firm-level Consequences of Market Globalization: Internationalization of the Firm's Value Chain
- [6] Societal Consequences of Globalization

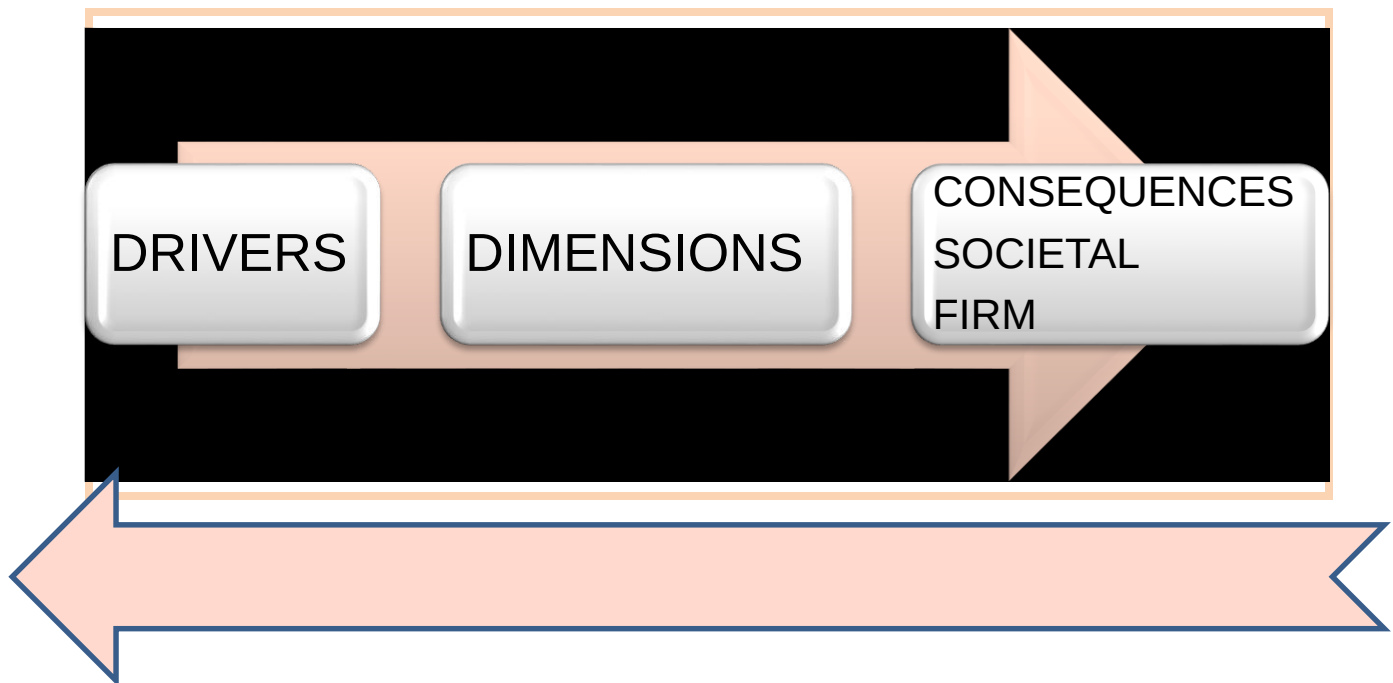
■ Globalization has been around for centuries—the early civilizations in the Mediterranean, Middle East, Asia, Africa, and Europe have all contributed to its growth.

■ Trade throughout history fostered civilization—opened the world to progress and innovations.

■ **Globalization of markets** is the integration and interdependence of national economies.

■ Globalization is chronicled through international trade, triggered by world events and technological discoveries. Globalization has progressed through five phases, since the early 1800s. The current phase (2007 to the present) was triggered by the rise of digital technologies and other advanced technologies, which are propelling efficiencies in manufacturing and services in international trade.

■ The organizing framework used to explain globalization consists of **drivers** (inputs), **dimensions** (processes) and **consequences**—both societal and firm-level (outputs).



Globalization can be modeled in terms of its drivers, dimensions, societal consequences, and firm-level consequences. The double-arrow designates the impact of drivers on globalization and vice-versa.

■ Driving Forces: Causes

Declining trade and investment barriers; market liberalization and adoption of free market economics in formerly closed economies; industrialization and economic development (emerging markets); integration of world financial markets; and technological advances in communications, manufacturing and transportation.

■ **Globalization** makes internationalization an imperative and **technology** provides the *means*.

■ Technological advances and globalization

Technology is one of the Drivers in the organizing framework

■ Key advances: Information technology, communications, the Internet, manufacturing, and transportation. These systems help create an interconnected network of customers, suppliers, and intermediaries worldwide.

■ IT has enabled international business to be affordable for all types of firms.

■ Dimensions: Manifestations

Growing global integration and interconnectedness of buyers, producers, suppliers, and governments. Globalization has fostered the emergence of *regional economic integration blocs*, growth of global investment and financial flows, the convergence of buyer lifestyles and needs, and the globalization of production and services.

■ **Value Chain:** Sequence of value-adding activities the firm performs in the course of developing, producing, marketing, and servicing a product.

■ **Global Sourcing** means **reconfiguration of the value chain** so as to capitalize on the most advantageous locations for sourcing, manufacturing, marketing, and distribution—on a global scale.

■ **Consequences: Firm**

Firms are compelled to globally reconfigure key value-adding activities to reduce the costs of R&D, sourcing, manufacturing, marketing, and other value-adding activities on a global scale, or to gain closer access to customers.

■ **Consequences: Societal**

There is much debate about globalization's benefits and harm.

■ Globalization was a major factor in the global recession and financial crisis.

■ Critics argue that globalization interferes with national sovereignty, the ability of a state to govern itself without external intervention.

■ Globalization is associated with *offshoring*, the relocation of value-chain activities to foreign locations where they can be performed at lower costs by subsidiaries or independent suppliers, which translates to increased unemployment in the home country.

■ Globalization tends to decrease poverty, but also widens the gap between rich and poor.

■ Unrestricted industrialization may harm the natural environment.

■ Globalization is also associated with the breakdown of national cultural values unique to each country.

■ Trade and investment can help address and mitigate many of a struggling continent's development needs, e.g., Africa.

Teaching Tips

■ **Input-Process-Output model:** As this chapter is framed with a globalization framework consisting of **drivers** (inputs), **dimensions** (processes) and **consequences**, both societal and firm-level (outputs) make it simple for your students and start with an explanation of a fundamental input-output model from Systems Theory. This model can be applied to any *open* system—from biology to business. Once you highlight the essence of the model, you can break your class into four groups and assign one of the following to each group: (1) **drivers** (inputs—what drives it), (2) **dimensions** (processes—what is it), (3) **societal consequences** (outputs—results), and (4) **firm-level consequences** (outputs—results). You may want to help them a bit by sharing some of the points under Key Themes (above). Allocate 10 minutes for each group to understand what their component means and how it fits into the overall model. Then, a designated group member from each group must share their findings with the class.

Commentary on the Opening Vignette:

OYO: A BORN GLOBAL FIRM

- **Key message**

- This case looks at how technology enables a born global firm to globalize rapidly.
- The benefits to the firm and to society from a firm's globalization are discussed.

- **Uniqueness of the situation described**

- OYO started global operations within three years of its inception.
- Within a decade, it had entered 80 countries. This includes entry into advanced economies, like the United States, with minimal investment.
- OYO has used technology widely to standardize operations, keep costs low, and capture global markets quickly.

- **Classroom discussion**

- By leveraging technology, OYO (Own Your Own) Rooms expanded internationally three years after its establishment in 2013.
- OYO's innovative startup idea tapped into the overlooked industry of budget hotels and provided pocket-friendly and hygienic accommodations for guests and revenue streams for partners.
- Their business model involves identifying struggling budget hotels and homeowners who are willing to offer rooms or living spaces on rent. They then rebrand partner assets as OYO Rooms or Homes, using technology to standardize the end-to-end customer experience.
- Proprietary apps—including OYO: Hotel Booking App, Krypton, and CO-OYO—use machine learning and artificial intelligence to allow the company to manage remote operations and standardize the experience for customers.
- OYO's success in achieving rapid globalization through technology is in contrast to the time it typically takes larger players to accomplish similar feats.

Use this case to discuss the characteristics of born global firms and the driving forces that have created an ecosystem that nurtures them. Assess their benefits to society. Divide students into small groups to work on the following questions, with each group providing a brief presentation of their answers.

AACSB and CKR Intangible Human Skills to improve employability and success in the workplace: **Ethical Understanding and Reasoning, Analytical thinking, Reflective Thinking, Application of Knowledge.**

QUESTIONS:

2-1. What characteristics of born global firms does OYO display?

(LO 2.1; LO 2.3; AACSB: Application of knowledge)

- Born global firms are startups that rapidly enter multiple global markets shortly after being founded, establishing a significant global presence.
- They are ventures that are agile, flexible, young, and small. This allows them to adapt

effectively to serve the global market.

- Born global firms can have diverse reasons for moving to foreign markets. They could be offering a product that has a global demand, or they could be in the service sector, like OYO, with the ability to use technology for cross-border expansion with minimal investment.
- Today, by breaking down barriers to international expansion, market forces and geopolitical factors play a crucial role in enabling companies to go global swiftly.

2-2. What aspects of globalization have allowed born global firms like OYO to internationalize so soon after their founding?

(LO 2.3; LO 2.3; AACSB: Application of knowledge)

- OYO's use of technology has allowed it to internationalize quickly and rapidly.
- The use of IT, digitalization, machine learning, artificial intelligence, and IoT technology has benefited the company as well as its partners, employees, and customers.
- It has enabled the company to move to 80 countries and offer the same standards everywhere by remotely monitoring, auditing, and training partners.

2-3. What societal benefits can a born global firm like OYO provide?

(LO 2.6; LO 2.3; AACSB: Reflective thinking)

- OYO has a presence in Tier-2 and Tier-3 cities in India, which is a major benefit to local businesses that would otherwise never be a part of a global chain.
- Operators of small guest houses and lodges are increasing revenue by offering hygienic rooms. They do not spend exorbitant sums on marketing and still enjoy higher occupancy rates as they are a part of the OYO network.
- OYO creates jobs in smaller cities. Employees benefit from their association with a global chain.
- Guests can trust the OYO brand to provide hygienic and functional living spaces with basic amenities at budget-friendly prices in remote locations.

III. DETAILED CHAPTER OUTLINE

GLOBALIZATION OF MARKETS AND THE INTERNATIONALIZATION OF THE FIRM

Phases of Globalization

- **Exhibit 2.1** summarizes the Phases of Globalization. Since the 1800s, the evolution of market globalization has witnessed **five distinct phases**, each triggered by global events and technological discoveries:

The First Phase of Globalization

1830–1900 (Peaking in 1880)

- The *first phase of globalization* began about 1830 and peaked around 1880.

- Cross-border commerce became widespread in this period due to the growth of railroads, efficient ocean transport, and the rise of large manufacturing and trading firms.
- The inventions of the telegraph and telephone in the 1800s facilitated information flows between and within nations and greatly aided early efforts to manage companies' supply chains.

The Second Phase of Globalization

1900–1930

- *The second phase of globalization* began around 1900 and was correlated with the rise of electricity and steel production.
- This phase reached its height just before the Great Depression, a worldwide economic downturn that started in 1929.
- In 1900, at the turn-of-the-century, Western Europe was the most industrialized region and its colonization of countries worldwide—in Asia, Africa, and the Middle East—led to the establishment of some of the earliest subsidiaries of multinational enterprises (MNEs).
- European companies such as BASF, Nestlé, Shell, Siemens, and British Petroleum had established foreign manufacturing plants by 1900.
- The Italian manufacturer Fiat supplied vehicles to nations on both sides of the war.

The Third Phase of Globalization

1948–1970

- *The third phase of globalization* followed World War II and was associated with reconstruction efforts and the dismantling of trade barriers.
- At war's end in 1945, substantial pent-up demand existed for consumer/industrial products, as well as for resources to rebuild Europe and Japan.
- Among the leading economies, U.S. was least harmed by the war and became the world's dominant economy.
- Substantial government aid helped stimulate economic activity in Europe.
- Pre-war years had been characterized by high tariffs and strict controls on currency and capital movements.
- Post-war, leading industrialized countries, including Australia, UK, and U.S., sought to reduce international trade barriers to meet the post-war demand.
- The result of this effort was the *General Agreement on Tariffs and Trade (GATT)*—the precursor to the World Trade Organization (**WTO**: www.wto.org).
- **GATT**, emerging from the Bretton Woods Conference of 23 nations in 1947, served as a global negotiating forum for liberalizing trade barriers and marked the beginning of a series of annual meetings aimed at reducing international trade and investment barriers.
- Participating governments recognized that liberalized trade would stimulate industrialization, modernization, and better living standards.
- Eventually, many more nations joined the **GATT**, and their efforts led to the formation of the WTO.
- **WTO**: A multilateral governing body empowered to regulate fairness and efficiency in international trade and investment.

- Some 164 nations are now members of the WTO.
- Global cooperation in the postwar era also gave birth to the **International Monetary Fund**, the **World Bank**, and the **United Nations**.
- Early multinationals from this third phase of globalization originated from U.S., Western Europe, and Japan.
- Firms like Unilever, Philips, Royal Dutch-Shell, British Petroleum, and Bayer organized their businesses by establishing autonomous subsidiaries in each of the foreign countries where they did business.
- Numerous companies developed strong brand names, including Nestlé, Kraft, John Deere, Kellogg, Lockheed, Caterpillar, Coca-Cola, Chrysler, Pepsi-Cola, Singer, and Levi's.
- U.S. multinationals such as IBM, Boeing, Texas Instruments, Xerox, and McDonnell Douglas spread out across the globe, leveraging technological competitive advantages.
- Gradually, MNEs began seeking cost advantages by locating factories in developing countries with low labor costs.
- 1960s: Growing MNE activities and early efforts at trade liberalization resulted in substantial increases in international trade and investment.
- 1960s/1970s: Recovered from World War II, MNEs in Europe and Japan began to challenge the global dominance of U.S. multinationals.
- With the easing of trade barriers and currency controls, capital began to flow freely across national borders, leading to integration of global financial markets.

The Fourth Phase of Globalization

1980–2006

- *The fourth phase of globalization* began in the early 1980s and ended around 2006.
- This period witnessed enormous growth in cross-border trade and investment activity. The following innovations triggered this phase:
 - Commercialization of the personal computer
 - Arrival of the Internet and Web browsers
 - Advances in communication and manufacturing technologies
 - Collapse of the Soviet Union and ensuing market liberalization in Central and Eastern Europe
 - Impressive industrialization and modernization in East Asian economies, including China
- Growing global prosperity began to reach **emerging markets** such as Brazil, India and Mexico.
- **1980s**: Huge increases in FDI, especially in capital- and technology-intensive sectors.
- Small and medium-sized enterprises (**SMEs**) can afford to be globally competitive, because of technological advances in information, communications, and transportation.
- These technologies enabled the globalization of the **service sector** in areas such as banking, entertainment, tourism, insurance, and retailing.
- Increasing global integration inspired mergers/acquisitions such as:
 - GM acquisition of Saab in Sweden
 - Ford acquisition of Mazda in Japan
 - Daimler Benz acquisition of Chrysler in U.S.

■ “Death of Distance” resulted from globalization and technological advances. The world was shrinking in terms of geographic and cultural distances that had long separated nations.

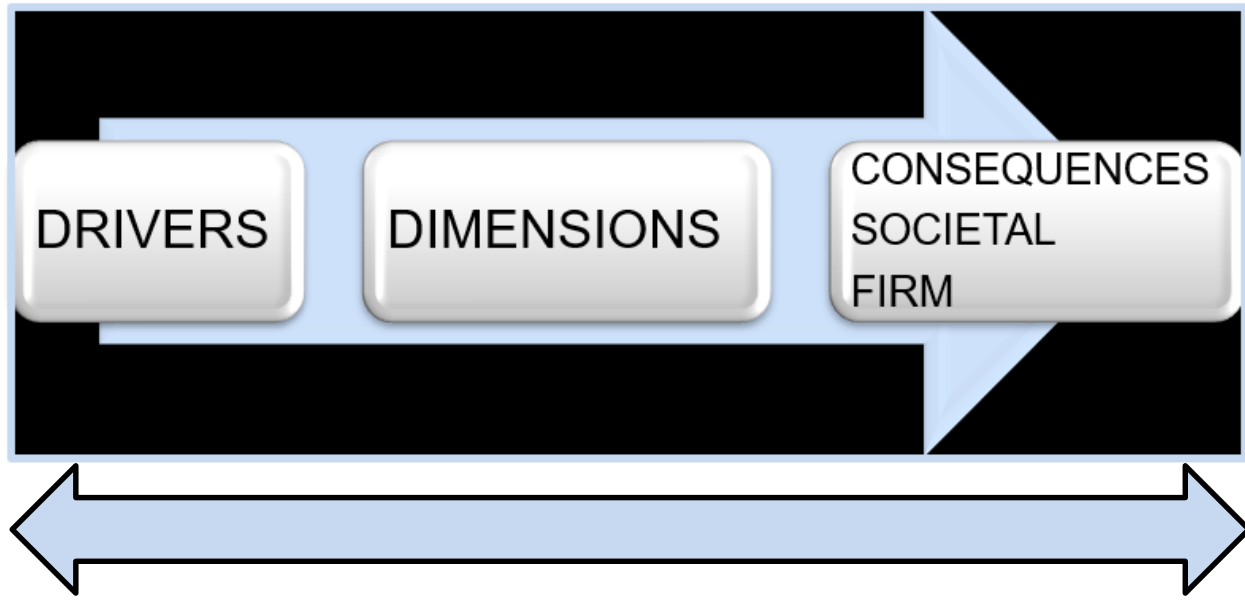
The Fifth and Current Phase of Globalization

2007 to the present

- *The fifth and current phase of globalization* began in about 2007 and continues.
- Rise of digital technologies, and other new technologies, are propelling manufacturing productivity and the efficiency of international trade in services.
- Technological breakthroughs in fields such as quantum computing, the Internet of Things, artificial intelligence, robotics, autonomous vehicles, 3D printing, nanotechnology, and biotechnology are blurring the lines between the physical, digital, and biological spheres.
- Digital and other new technologies are boosting the efficiency of international trade, especially in services. Much retailing is done via Amazon and Alibaba, which sell their offerings around the world via online platforms.
- The value of world exports of services rose from about \$2 trillion in 2003 to more than \$7 trillion in 2023.
- Thanks to technological advances, national borders and traditional country-based business models are losing much of their relevance.
- But, growth in international trade of goods has slowed during this phase.
- Just as new technologies support international services trade, they also increase the productivity of local manufacturing. This reduces firms’ cost of home-market operations and increases the attractiveness of homegrown, local manufacturing. FDI as a share of total investment has declined.
- Emerging market countries increasingly focus on developing local markets for locally manufactured products.

MARKET GLOBALIZATION: ORGANIZING FRAMEWORK

- **Exhibit 2.2** presents the driving forces, dimensions, and consequences of globalization.
- The following model distinguishes among:
 - (1) **Driving Forces** or causes of globalization;
 - (2) **Dimensions** or manifestations of globalization;
 - (3a) **Firm-Level Consequences** of globalization; and
 - (3b) **Societal Consequences** of globalization.
- As market globalization intensifies, individual firms respond to challenges and exploit new opportunities.



■ The double arrows illustrate the interactive relationship between market globalization and its consequences.

1) DRIVING FORCES or causes of globalization

- Global reduction of trade and investment barriers
- Market liberalization $\rightleftharpoons$ Free markets
- Industrial/economic development
- Financial market integration
- Technological advances

(2) DIMENSIONS or manifestations of globalization

- National economies integrated and interdependent
- Regional economic integration blocs
- Global investment and financial flows
- Convergence of lifestyles $\rightleftharpoons$ Universal demand
- Globalization of production activities
- Globalization of services

(3a) FIRM-LEVEL CONSEQUENCES of globalization

- New international business opportunities
- Global competitors: intense rivalry and risks
- Worldwide suppliers and more demanding buyers
- Proactive internationalization emphasized
- Global sourcing of value chain activities

(3b) SOCIETAL CONSEQUENCES of globalization

- Contagion: Interconnected financial markets, so crises can spread quickly among nations
- Loss of national sovereignty
- Offshoring & flight of jobs

- Effect on the poor
- Effect on the natural environment
- Effect on national culture

■ THREE MEGA DRIVERS OF GLOBALIZATION

- [1] Worldwide reduction of barriers to trade and investment
- [2] Market liberalization and free market adoption
- [3] Technological advances

■ **Globalization** is a broad term referring to the interconnectedness of national economies and the growing interdependence of buyers, producers, suppliers, and governments in different countries, i.e., **ongoing economic integration and growing interdependency of national economies.**

■ Globalization enables firms to view the world as one large marketplace for goods, services, capital, labor, and knowledge, **allowing companies to outsource value-chain activities to the most favorable locations worldwide.**

■ Globalization makes it easier for companies to sell their offerings worldwide.

■ Growing world trade and foreign direct investment (FDI) provide buyers with a wider choice of products than ever before.

■ Global competition and innovation help to lower consumer prices.

■ Firms with cross-border business create millions of jobs that raise living standards around the world.

ADDITIONAL TOPICS OF CONVERSATION

■ Market Globalization and Technological Advances:

Antecedents and Consequences:

- Growing world trade and foreign direct investment
- Spread of technology
- Global sourcing and sales of products/services
- Broad product/service consumer options
- Competition and innovation foster product/service price reductions
- Job creation: Contributing to higher living standards
- Global convergence of some products—illustrated by universal demand, e.g., music, entertainment, consumer electronics, food
- Transformation of national economies
- Dissemination of economic, political and legal values, e.g., liberalized economies, free trade and intellectual property rights

WHY GLOBALIZATION IS NOT NEW

Globalization is not new; it has simply accelerated and acquired a more complex character in recent decades.

■ Early civilizations in the Mediterranean, Middle East, Asia, Africa, and Europe have all contributed to the growth of cross-border trade.

- Globalization evolved out of an international, common heritage shared by worldwide civilizations to reach out and interact with one another.
- Cross-border trading opened the world to innovations and progress.
- Exchange with others gave societies the opportunity to expand and grow.
- Trade through the ages fostered civilization; without it, we would be a world of warring tribes using combat to get what is needed.

ADDITIONAL TOPICS OF CONVERSATION:

- The word “trade” comes from the Anglo-Saxon term *trada*, which means to walk in the footsteps of others.
- Ancient trade routes were the foundation for a high level of cross-cultural exchange of ideas that lead to the development of religion, science, economic activity, and government.
- The phrase “all roads lead to Rome” is not so much a metaphorical reference to Rome’s dominance of the world 2,000 years ago, but to the fact that Rome’s territorial colonies were constructed as **commercial resource centers** to serve the needs of the Roman Empire and increase its wealth.
- In an empire that stretched from England to Israel and from Germany to Africa, the Romans created more than 300,000 kilometers of roads. Roman roads were the life-blood of the state that allowed for trade to flourish.
- In the middle ages, the Knights Templar acted as guardians for pilgrims making the hazardous journey to pay homage to the birth place of the Christian religion.
- In addition to protecting tourists, this warrior order created the **first international banking system** with the use of rudimentary traveler’s checks, eliminating the need for travelers to carry valuables on their person, which could be easily robbed.
- Genghis Khan in 1100 not only united the Mongols but created an empire beyond the Chinese border, including Korea and Japan in the East, Mesopotamia (modern day Iraq and Syria), Russia, Poland and Hungary.
- Genghis Khan instituted common laws and regulations over his domain, most notably the preservation of private property to enhance and protect the trading imperative.
- Arab merchants traded in spices across land routes reaching from northern Arabia across modern-day Turkey, through Asia Minor and finally reaching China.
- By concealing the origins of cinnamon, pepper, cloves, and nutmeg such traders were able to gain a **monopoly** and control prices. Europeans came to believe that the spices came from Africa, when in fact, they had merely changed hands there.
- Under the traditional trading system, spices, linen, silk, diamonds, pearls, and opium-based medicines reached Europe via indirect routes over land and sea.
- Representing one of the earliest systems of international distribution, the products passed through many hands on their long voyage. At every juncture, prices increased several folds (i.e., **value chain**).
- **Proactive internationalization**: Seek new markets, find lower-cost inputs, or obtain other advantages or adverse home market conditions (e.g., regulation or declining industry sales), push firms to boldly venture abroad
- Generally, **proactive** internationalization tends to be more successful than reactive internationalization.

■ Examples: TWO TELECOM FIRMS

[1] America Movil (www.americamovil.com): Leading wireless phone service provider that has pursued internationalization as a **Growth Strategy**.

- They have over 300 million subscribers in 21 countries.
- Based in Mexico, America Movil internationalized primarily via FDI.
- Initial operations were in Brazil and Colombia, then Ecuador, Chile, the Netherlands, and numerous other foreign markets.
- Then a **joint venture** with Citigroup to fund expansion in South America, and an **acquisition** of Verizon's telephone operations in Puerto Rico.
- America Movil capitalized on globalization trends:
 - Harmonizing communications technologies
 - Converging buyer characteristics
 - Reduced trade and investment barriers
 - Leapfrogging past old telecom technologies and embracing contemporary mobile phone technologies.

■ Transnational Strategy (Global and Multidomestic combination)**Global**

- Key underlying assumption of the global strategy: worldwide convergence of buyer lifestyles, incomes, and demand.
- Cell phones are essentially identical worldwide.
- Advertising emphasizes a global brand that is recognized everywhere.
- Management coordinates operations on a global scale and applies common business processes in procurement and quality control.

Multidomestic

- Adapted to local languages.
 - Modified to local regulations.
 - Adapted to local telephone standards.
- Globalization of markets drives product standardization, global branding, and selling to customers worldwide.

[2] Vodafone has internationalized mainly via FDI (Australia, Hong Kong, Scandinavia, Africa, Asia, Europe, India, and the Americas) and implements a proactive **global strategy** by selling **standardized** products and services and employing standardized marketing programs around the world.

■ Vodafone generated a total revenue of **45.58 billion euros in 2022**, an increase of approximately 1.7 billion euros compared to the previous year, with **302.6 million** mobile customers worldwide in more than 30 countries.

■ As emerging markets develop economically, they leapfrog past older technologies, e.g., landline systems and employ modern cell phone technologies. Vodafone capitalized upon the intersection of technology, globalization, and emerging market trends, when it acquired Turkey's second-biggest mobile phone operator, Telsim in 2008.

- 2011: Acquired a controlling interest in a major cell phone firm in India, a move that leveraged the country's rapid economic growth and need to upgrade its phone systems, where Vodafone Idea is positioned as the fastest 4G network in India.
- Revenues were flat or declining for several years through 2018.
- 2018: Vodafone Group's largest acquisition date was in 2018, when it acquired Liberty Global—Four Businesses for \$21.4B.
- 2019: Sold **Vodafone New Zealand to Infratil for \$2.2B.**
- Vodafone Group has acquired in one US state, and eight countries.
- A recent strategy has been to target different societal sections with different offerings, implementing a **selective and differentiated targeting strategy.**
- Vodafone operates in all three market segments: low, middle, and high levels, which gives it a competitive advantage over the other major telecom players.

★ Universal demand is the pivotal underpinning for a global strategy as standardization and economies of scale are hallmarks for achieving the global efficiencies that this strategy is known for, and can translate to price competition.

DRIVING FORCES OF GLOBALIZATION

- **Five drivers** of market globalization:

1. Worldwide reduction of barriers to trade and investment.

- National governments have sought to reduce trade and investment barriers, which has accelerated global economic integration, e.g., tariffs on the import of industrial and medical equipment have declined nearly to zero in many countries.
- The **World Trade Organization (WTO)** has facilitated this.
- The WTO is a multilateral governing body empowered to regulate international trade and investment and has been engaged in an ongoing liberalization of member states' economies since the late 1940s.
- Joining the WTO in 2001, even China made its market more accessible to foreign companies.
- Market openings are closely associated with the emergence of regional economic integration blocs, a key dimension of market globalization.
- The rise of nationalistic politicians in some countries has hindered the reduction of trade and investment barriers, although overall trend remains that of increasing free trade.

2. Market liberalization and adoption of free markets.

- The Berlin Wall, built in 1961, separated the communist East Berlin from the democratic West Berlin.
- The tearing down of the Berlin Wall in 1989, the collapse of the Soviet Union's economy that same year, and China's free-market reforms signaled the end of the 50-year Cold War between communist regimes and democracy.

- It was the transition from **command economies** to **market-driven economies** and free-market reforms that facilitated the integration of China, India, Russia and other formerly protectionist countries into the global economy.
- The Asian economies, India, Indonesia, Malaysia, and South Korea, embraced **market-based reforms**.
- These events opened roughly **one-third** of the world to freer international trade and investment.
- China, India, and Eastern Europe have become some of the most cost-effective locations for producing goods and services.
- Privatization of previously state-owned industries promotes economic efficiency and attracts foreign capital into their national economies.

3. Industrialization, economic development, and modernization.

- Industrialization transitions emerging markets—Asia, Latin America, and Eastern Europe—from being **low value-adding** commodity producers, dependent on low-cost labor, to sophisticated competitive producers and exporters of premium products (**higher-value products**) such as electronics, computers, and aircraft.
- **Examples:**
 - **Brazil** is a leading producer of Embraer commercial aircraft
 - **Czech Republic** excels in manufacturing automobiles
 - **India** is a leading supplier of computer software
- **Gross National Income (GNI):** Perhaps the most important measure of economic development, i.e., standards of living and discretionary income.
- **Exhibit 2.3** maps the Gross National Income worldwide in \$US per capita. There is a direct correlation between low-income countries and low levels of globalization, e.g., **Africa, Asia, Latin America**.
- The adoption of modern technologies, improvement of living standards, and adoption of current legal and banking practices increase the attractiveness of emerging markets as investment targets and facilitate the spread of ideas, products, and services across the globe.

- **Exhibit 2.4** highlights the relationship between trade and gross domestic product (GDP—the volume of goods and services production). It suggests that countries that engage substantially in international trade also tend to experience strong economic development as measured by a rising GDP.

4. Integration of world financial markets.

- Integration of world financial markets enables internationally active firms to raise capital, borrow funds, and engage in foreign currency transactions.
- Cross-border transactions are made easier partly as a result of the ease with which funds can be transferred between buyers and sellers, i.e., through a network of international commercial banks.
- The SWIFT network connects more than 11,000 financial institutions in some 200 countries.
- The globalization of finance enables firms to pay suppliers and collect payments from customers worldwide.

5. Advances in technology.

■ Technological advances in communications, information, manufacturing, and transportation have served as a remarkable facilitator of cross-border trade and investment.

TECHNOLOGICAL ADVANCES AND GLOBALIZATION

Technology is one of the most important Drivers in the organizing framework

- **Globalization** and **technology** are the twin mega-trends impacting the international landscape.
- Globalization makes internationalization imperative; technology provides the *means*.
- The most important advances in technology have occurred in information, communications, manufacturing, and transportation—enabling firms to interact more efficiently with value-chain partners—thus build competitive advantages.

Information Technology

- Information technology (IT) is the science and process of creating and using information resources.
- The effect of Information Technology (IT) on business has been nothing short of revolutionary.
- The cost of computer processing fell by 30 percent per year during the past three decades, and continues to fall.
- Data, information, and experience can be readily shared via worldwide company intranets.
- Smaller firms can also leverage IT to design and produce customized products that can be targeted to narrow, cross-national niches.
- The impact of IT on our daily lives has been profound: cell phones, online search engines, etc.
- IT supports strategic decisions, e.g., the selection of qualified foreign business partners based on key information and intelligence.
- Technology enables firms to interact with foreign partners and value-chain members in a more timely and cost-effective way, thus enabling competitive advantage.
- The remarkable performance of U.S. economy in the 1990s was largely due to aggressive integration of IT into firms' value-chain activities.
- With technological leapfrogging and other IT advances, small- and medium-sized enterprises (SMEs) can afford to be early global players.
- More technological advances in other areas—artificial intelligence, big data, Internet of things, energy creation and storage—promise to provide additional progress through the 2020s.

■ Emerging markets (*technological leapfrogging*) and consumers (reduced prices and greater selection) are the beneficiaries, e.g., African countries can bypass landline technology and instead immediately adopt cell phone technologies.

■ Exhibit 2.5: Growth of Global Communication and the Internet

■ **Panel (a)** depicts that most people do not have access to fiberoptic networks due to their location.

■ Common in urban areas of advanced economies, fiber optic transmission helps ensure fast connectivity for broadband internet.

■ Out of a world population of about 8 billion, only 2.3 billion people (29 percent) lived within 10 kilometers of a fiberoptic network in 2022.

■ Being within 10 kilometers is no guarantee of a connection because many people lack the resources, due to poverty or other factors, to connect the network.

■ In Europe, about 60 percent of the population lives within 10 kilometers of a fiberoptic network, while in the Asia-Pacific region, the figure is only 22 percent.

■ Lack of access to fiberoptic networks results in slower Internet connections, an inability to utilize many Internet applications, and lower workforce productivity.

■ **Panel (b)** reveals the growth in Internet users in various regions since 2005. Africa has the fewest Internet users, whereas Europe and North America have the most, reflecting the level of economic and infrastructural development in each region.

Digitalization

■ *Digitalization* refers to enabling or transforming business functions, operations, and activities by leveraging digital technologies and digitized data.

■ Digital networks provide a global platform through which people and organizations interact, collaborate, obtain information, and develop strategies.

■ E-commerce now encompasses a vast range of platforms and applications that facilitate international buying and selling of goods and services online. For example, sharing-economy firms such as Uber and Airbnb use specialized software and the Internet to facilitate the joint creation of value and services between asset users and asset owners. Digitalization is transforming interactions among customers, employees, business partners and investors by connecting locations, products, services, and data.

■ Large-scale data analysis helps uncover breakthrough business insights and develop products, services, and experiences tailored to specific customer needs. For example, automakers continuously collect data on how customers use their cars and then utilize the data to improve product quality and the driving experience.

■ Leveraging emergent technologies such as virtual reality and artificial intelligence helps to create innovative products and services that provide competitive advantages.

■ Artificial intelligence, and IT-based automation improve operational efficiency and deliver more engaging customer experiences. For example, MNEs are introducing sensors into manufacturing operations to improve production efficiency, predict maintenance problems, and perform repairs from remote locations.

■ Digitalization has numerous consequences. The marginal cost of transmitting data and information worldwide is now essentially zero.

■ Digitalization has reduced both the importance of geographic boundaries and the costs of international interactions and transactions.

■ Companies extensively use digital tools to support innovation and improve productivity and the effectiveness of value chains worldwide.

■ Competition is becoming more sophisticated and global. For example, Alibaba and

Amazon are connecting global suppliers and imposing competitive pressures on traditional retailers worldwide

- The Internet of Things refers to machine-to-machine connectivity online.
- Worldwide, mobile telephony and app development have grown enormously, creating millions of jobs, increasing productivity, and producing big GDP gains.
- The number of smartphone users has reached **6.92 billion**, quadruple the figure from 2013, meaning **86.11** percent of the world's population owns a smartphone.

Communications

■ The most profound technological advances have occurred in telecommunications: satellites, optical fiber, wireless technology—the Internet and Internet-dependent systems such as intranets, extranets, social media, and email connect billions of people and companies.

- The dot-com boom of the 1990s led to massive investment in fiber-optic telecommunications cable.
- Instant and low-cost digital communication has lowered transaction costs associated with international trade.
- Transmitting voices, data, and images is essentially costless, making Seoul, Stockholm, and San Jose next-door neighbors.
- South Korea, where Internet access is nearly 100 percent, is leading the way. Koreans use their phones to pay bills, do banking, and watch news programs.
- The Internet opens up the global marketplace to **SMEs** and other firms that normally lack the resources to engage in international business.
- The Internet is stimulating economic development and a massive, global migration of jobs, particularly in the services sector.
- **Services** as diverse as designing an engine, monitoring a security camera, selling insurance, and doing secretarial work are easier to export than car parts or refrigerators.
- **China** (www.taobao.com): Thousands of rural farmers use Internet sites to market their produce to urban consumers.
- **India**: The government established the Open Network for Digital Commerce to foster e-commerce, emphasizing open interchange and connections between shoppers, technology platforms, and retailers.
- With 1.4 billion people, India is a top market for e-commerce, and a key goal is to facilitate competition in India's e-commerce sector, which has been dominated by large firms like Amazon and Flipkart.

Ethical Connections

- In six years, Nigeria increased its telecom infrastructure from just 500,000 phone lines to more than 30 million cellular subscribers.
- The result has been a dramatic rise in productivity and commerce, which helps improve living standards.
- Mobile phones have become the **transformative technology** for developing economies (technological leapfrogging) with exponential growth of cellular subscribers resulting in:

- Greater efficiencies
- Improved living standards, access to education, and healthcare services
- Better communication between suppliers and customers
- Dramatic rise in productivity and commerce
- **Example:** MNE telecom investment in Africa allows firms to fulfill social responsibilities and improve the lives of millions of poor people.
- Cell phone infrastructure is inexpensive and relatively easy to install.
- Cell phone penetration largely accounts for Africa's economic growth in recent years.
- The **Internet of Things** refers to machine-to-machine connectivity online.
- GDP gains and millions of jobs have resulted from global mobile telephony and app development exploding.

■ Social Media Platforms: Transcend Borders and Geographic Distances

- Social media such as Snapchat, Instagram, Facebook, YouTube, Twitter and WeChat facilitate the free flow of information, deepening the pace and impact of globalization.
- Global communities created by platforms such as YouTube and Twitter help mobilize audiences that transcend borders and geographic distance.
- Exploded during COVID-19—for work and entertainment.

■ Examples:

- Played a major role in the Russia–Ukraine war.
- “**Arab Spring**” in the Middle East was facilitated in large part by social media.
- **Puma** used Twitter and other platforms to market sportswear to customers in Europe and Latin America, ahead of the World Cup games.
- **McDonald's** used the social media site [Renren.com](https://www.renren.com) to market burgers and sundaes to customers in China.
- Organizations leverage social media to leverage direct sales, advertising, and public relations.

■ Social Media Restrictions: Authoritarian Countries

- Some national governments restrict access to social media, fearing that it can accelerate social movements.

■ Videotelephony

- **Videotelephony**—gained wide usage only during the COVID-19—programs such as FaceTime, Skype, and Zoom are platforms that provide simultaneous audio and video communications, on both computers and telephones.
- With lower costs and improved the transmission quality, businesses, schools, and government agencies adopted such platforms, dramatically increasing the volume and quality of international communications.

Production

- Revolutionary developments now permit low-scale and low-cost manufacturing, with the support of digitalization, artificial intelligence (AI), additive manufacturing (3-D

printing), computer-aided-design (CAD) of products, and robotics have transformed manufacturing.

■ International business benefits:

- Products are adapted to local markets more efficiently.
- Small national markets can be profitably targeted.
- Competitive parity with foreign competitors that enjoy cost advantages.

■ AI and robots improve productivity and efficiency, increase flexibility, and augment the human workforce.

■ These serve to maintain global competitive advantages.

■ AI increases sustainability by optimizing the use of raw materials and energy.

■ AI and robots allow firms to automate monotonous, repetitive tasks, so that workers can concentrate on other high value-adding activities in production.

■ Additive manufacturing facilitates the ability to produce customized goods efficiently anywhere in the world.

■ Yum China Inc. (Yum) operates some 8,400 KFC, Pizza Hut, and Taco Bell restaurants throughout China.

- Chinese Yum customers use touchscreen kiosks to order and pay for food.

■ Payments are processed using cameras that scan customer faces and match them to credit databanks.

■ More than 85 percent of transactions are cashless and most orders are placed via mobile app or digital kiosk.

■ Yum also uses AI and data on millions of Chinese to customize menus for each diner based on preferences and local tastes.

■ AI-powered systems and increased automation help Yum boost sales and cut costs.

■ Knowing customer preferences and the transaction pattern of each restaurant allows Yum to increase customer satisfaction, optimize forecasting, minimize waste, and meet sustainability targets.

Transportation

■ The decision to **export** or **manufacture** abroad rests with the transportation costs of raw materials, components, and finished products.

■ Technological advances have led to the development of fuel-efficient jumbo jets, giant ocean-going freighters, and low-cost shipping, leveraging new transportation technology which has reduced shipping times and costs.

■ **Sustainability:** Growing transportation poses an increasing threat to the natural environment, in terms of the usage of energy and other resources.

■ **2003–2023:** The number of containers transported worldwide increased by **270** percent from 300 million 20-foot containers to more than 800 million such containers in 2023.

■ Maersk (Shipbuilder) introduced container ships that can carry upwards of 9,000 40-foot shipping containers. The Triple E class is a family of very large container ships with a capacity of more than 18,000 TEUs (Twenty-foot Equivalent Unit).

- The “Triple E” vessels provide economies of scale, energy efficiency and are environmentally friendly.
- These transport goods mainly between Europe and Asia because they are too wide to pass through the Panama Canal, and only massive ports can handle them including Shanghai in China and Rotterdam in the Netherlands.
- The majority of today’s ocean-going container ships hold more than 2,500 containers.
- The plummeting cost of transportation, as a proportion of the value of products shipped internationally, has dramatically declined, spurring rapid growth in cross-border trade.
- Growing transportation poses an increasing threat to the natural environment in terms of the usage of energy and other resource
- The Internet of Things supports logistics by tracking shipments in real time and making delivery services more efficient.
- AI can route trucks, rail, and even ships based on current transportation conditions, which helps increase transportation efficiency.
- Automated document processing helps speed goods through customs. In warehouses and ports, robots and autonomous vehicles can unload and reload cargo fast, with fewer errors.

DIMENSIONS OF MARKET GLOBALIZATION

- In the context of international business, market globalization may be viewed simultaneously as:
 - (a) Consequences of the Drivers of Market Globalization;
 - (b) Drivers and consequences of Firm-level Internationalization;
 - (c) Drivers and consequences of Societal Internationalization.

- Globalization of markets is a multifaceted phenomenon, with **six major dimensions**:

1. Integration and interdependence of national economies.

- The multicountry *aggregate* activities of reconfiguring and integrating value-chain activities gives rise to *economic integration* (through trade, investment, geographic distribution of firm resources).
- **Value chain:** The sequence of value-adding activities performed by a firm in the process of creating a product: R&D, procurement, manufacturing, marketing, distribution, sales and service.
- **Governments** contribute to this integration by:
 - (1) Lowering trade and investment barriers;
 - (2) Harmonizing their monetary and fiscal policies *within regional economic integration* blocs (also known as trade blocs), e.g., EU;
 - (3) Creating *supranational* institutions that transcend national borders and involve cooperation among several countries that seek further reductions in trade and investment barriers, e.g., the World Bank, International Monetary Fund, and World Trade Organization.

2. Rise of regional economic integration blocs.

- Emergence of **regional economic integration blocs** since the 1950s.
- **Trade bloc:** Consist of groups of countries that facilitate reduced trade and investment barriers among themselves.
- **Examples:** U.S.–Mexico–Canada Agreement (*USMCA*) which replaced the North America Free Trade Agreement (*NAFTA*), the Asia Pacific Economic Cooperation zone (*APEC*), and *Mercosur* in Latin America.
- In more advanced stages (common market), barriers to the cross-border flow of capital and labor are also removed, e.g., European Union (www.europa.eu).

- In addition to adopting free trade among its members, the EU has harmonized fiscal and monetary policies and adopted common business regulations.
- The European Union is the only example of an economic and monetary union, with its common currency of the *euro*.

3. Growth of global investment and financial flows.

- Foreign direct investment (FDI) has grown dramatically due to global sourcing.
- Firms and governments undertake global currency trading to finance cross-border trade and investment.
- The globalization of capital, i.e., the free movement of capital (denominated in dollars, euros, yen, and other world currencies) around the world extends economic activities across the globe and fosters interconnectedness among world economies.
- Commercial and investment banking has become a global industry.
- The bond market has gained worldwide scope, with foreign bonds representing a major source of debt financing for governments and firms.

■ Negative effect of integration:

Examples:

- **2008:** When U.S. experienced a banking crisis, the contagion quickly spread to Europe, Japan, and emerging markets, triggering a global recession.
- **1997:** When Thailand and Malaysia experienced a monetary crisis, it quickly spread to South Korea, Indonesia, the Philippines and elsewhere, causing prolonged recession in most East Asian economies.

4. Convergence of consumer lifestyles and preferences.

- Lifestyles and preferences are converging, i.e., increasingly *standardized*, resulting in global market segments.
- Global media and the Internet contribute to the convergence of buyer preferences, in part by emphasizing/commercializing a particular lifestyle.
- **Universal demand:**
- **Examples:**
 - Goods, clothing, automobiles, and electronics.
 - iPhones, Levi's jeans, and Hollywood movies (*Avatar* and *Spider Man*).

- Industrial markets: Professional buyers source raw materials, parts, and components that are increasingly *standardized*.

■ **Double-edged sword:** While converging tastes facilitate the marketing of standardized products/services to global consumers, they also signal the loss of traditional lifestyles, values, and cultures in individual countries and national sovereignty.

5. Globalization of production.

- Intense global competition has made *economies of scale* a critical key success factor. Global players are forced to evaluate global sourcing and standardization, capitalizing on location differences in the cost and quality of factor inputs.
- **Offshoring:** This explains why auto and textile firms have relocated to low labor-cost locations such as China, Mexico, and Poland.

6. Globalization of services

- The services sector is undergoing internationalization and global sourcing.
- Firms in banking, hospitality, retailing, and other service industries are rapidly expanding abroad.
- **Examples:**
 - The real estate giant REMAX has established more than 6,500 offices in over 100 countries.
 - The French firm Accor operates hundreds of hotels worldwide.
- Firms increasingly outsource business processes and other services-based value chain activities to vendors located abroad.
- In a new trend, people are increasingly going abroad to take advantage of low-cost medical procedures.
 - *Medical tourism:* Consumers travel abroad for medical procedures such as hysterectomies, cataract, knee and cosmetic surgeries.
- The distribution of foreign direct investment has changed markedly, from an emphasis on manufacturing to services.

FIRM-LEVEL CONSEQUENCES OF MARKET GLOBALIZATION: INTERNATIONALIZATION OF THE FIRM'S VALUE CHAIN

- The most significant implication of market globalization is on the firm's value chain.
- Globalization compels firms to internationalize their value chain and adopt a **global rather than a local focus—sourcing decisions are key to cost advantages and time efficiencies**.
- **Value chain:** The sequence of value-adding activities performed by a firm in the process of creating a product: R&D, procurement, manufacturing, marketing, distribution, sales and service.
- The value chain concept is useful in international business because it helps clarify **what** activities are performed **where** in the world.
- Value chains vary in **complexity** and across industries and products.

- **Upstream activities:** Research and development, procurement, and manufacturing.
- **Downstream activities:** Marketing, distribution, and sales and service.

■ Exporting firms perform most “upstream” value-chain activities (R&D and production) in the **home** market and most “downstream” activities (marketing and after-sales service) **abroad**.

■ Each value-adding activity is subject to *internationalization*. It can be performed in a foreign market instead of at home, sometimes in collaboration with local business partners.

■ **Exhibit 2.6** portrays a value chain for a typical international firm, underscoring the flexibility that firms have in reconfiguring their value-adding activities.

■ **Outsourcing:** The value-adding activity is delegated to an external supplier, as opposed to being internalized within the company.

■ **Global outsourcing:** The external supplier is located abroad.

■ **Offshoring:** Relocates a major value chain activity, e.g., relocating a factory or other subsidiary abroad.

■ **Reasons** for locating value-chain activities in particular countries:

- Reduce the costs of R&D and production
- Gain closer access to customers.

■ Examples of Globalization Realities:

■ **BMW** launched a new factory in South Carolina, thus could manufacture cars cost-effectively while more readily accessing U.S. market. BMW created thousands of high-paying, better-quality jobs for U.S. workers.

■ **Jackson Mills**, an aging textile plant, closed its doors, shed thousands of workers, and sourced textiles more cost-effectively, with comparable quality, from Asian suppliers.

■ **Globalization drove these firms to relocate key value-adding activities to the most advantageous locations around the world.**

■ **Exhibit 2.7:** Underscores the significance of a global marketplace in that firms face intense rivalry from foreign and domestic competitors.

■ **2002:** General Motors, Ford, and Chrysler together held nearly **62** percent of the market share in passenger vehicle sales in U.S.

■ **2022:** This percentage had fallen to **41** percent as the market shares of Toyota, Nissan, Hyundai, and others rose dramatically.

You Can Do It: Recent Grad in IB, Terrance Rogers

Terrance's majors:

BBA in Finance and International Business, MBA in General Management

Objectives: Exploration, international perspective, self-awareness, career growth, and learning about foreign markets

Internships during college: Deutsche Bank, Evercore

Jobs held since graduating:

- Strategy and Business Development at Deutsche Bank, London and New York City
- Mergers and Acquisitions at Evercore, New York City
- Chief of Staff at Drift, Boston
- Strategy and Business Development at Flywire, Boston

His college's International Business Certificate program coupled with a study abroad program to Paris and Brussels, ignited Terrance's passion for finance, learning about different cultures and working abroad. After graduation, Terrance launched his career as a business analyst with Deutsche Bank in New York, which gave him experience in regulatory change, process improvement, and crisis management. He later worked out of London, where he led strategy and business development.

After graduate school, Terrance's zeal for international business took him to China, Hong Kong, and Taiwan, where he studied supply chain management to learn how jobs could be repatriated to U.S. He completed immersion programs focused on startup ecosystem development in Israel and Indonesia.

In 2016, Terrance presented a paper at the 69th World Health Assembly in Geneva, Switzerland, which centered on managing the global impact of infectious disease outbreaks. Public health leaders later used this paper during the COVID-19 pandemic to accelerate diagnostics, vaccines, and therapeutics. Upon graduating from business school, Terrance joined Evercore, where he worked on cross-border transactions, mergers and acquisitions. Today, Terrance works at Flywire, a global FinTech company focused on cross-border payments, where he leads strategy and business development.

Terrance's Advice for an International Career

Major clients don't just reside in U.S. anymore, so if you want to have a long impactful career, you must find a way to gain some international exposure. Your boss will rely on you to be able to work with business associates from different cultures. Your clients will expect you to understand issues with a global perspective.

Success Factors

(a) Work on projects that expose you to people in different regions across the globe; (b) share your interest in working abroad early and bring it up in your annual review; and (c) impress the people who can make it happen.

Challenges

- Challenges like language barriers and cultural differences are things that should be faced as soon as you can in your career.
- Don't be afraid to make a mistake. It's much better to learn from cultural missteps now, so that you can be a better business leader tomorrow.
- Globalization is a major dimension of business today.

SOCIETAL CONSEQUENCES OF GLOBALIZATION

■ **Positive consequences** of market globalization:

- Advances in living standards.
- Cross-border trade and investment opened the world to innovations and progress while increasing performance standards, known as *global benchmarking* or *world class*.

■ **Negative consequences** of market globalization:

- The transition to an increasingly single, global marketplace poses challenges to individuals, organizations, and governments.
- Poverty is especially notable in Africa, Brazil, China, and India where lower-income countries have not been able to integrate with the global economy as rapidly as others.
- Globalization has created countless new jobs and opportunities around the world, but it has also cost many people their jobs.

UNINTENDED CONSEQUENCES OF GLOBALIZATION

Contagion: Rapid Spread of Monetary or Financial Crises (Due to the Integration of National Economies)

- **2008:** The world economy experienced a severe financial crisis and global recession—the worst in decades.
- Triggered by unsustainably high prices in housing and commodities markets worldwide.
- As **real estate** markets tumbled, home values crashed, leaving owners with mortgage debts greater than the value of their homes.
- Homeowners were unable to repay their debts, a situation that worsened as people lost jobs or experienced pay cuts.
- High **commodity** prices resulted partly from rising demand, especially in emerging markets such as China and India.
- Thousands of mortgages had been **securitized**, that is, bundled and sold as investments on stock markets worldwide.
- The stock markets plunged.
- **Contagion:** The crisis began in U.S. and spread around the world.

ADDITIONAL TOPICS OF CONVERSATION REGARDING CONSEQUENCES:

- The financial crisis struck at the core issues of globalization and raised questions concerning its merits.

- As the value of the mortgage securities plunged or became uncertain, the stock markets crashed.
- Consumer confidence dwindled, triggering substantial declines in spending on cars, consumer electronics, home appliances, luxury goods, gasoline, bank loans, and new homes.
- Spending decreased, impacting global commerce. Trade slowed or flattened in consumer durables, energy, financial services, new construction, and related industries.
- **2009–2010:** Global growth declined sharply to levels not seen since World War II.
- **Catalyst:** Although the crisis began in U.S., national economies and banking systems had been integrated through **technology**, so the contagion spread quickly around the globe.
- Canada and Mexico slipped into recession partly due to their heavy reliance on trade and investment with U.S.
- Japan, New Zealand, Turkey, U.S., and most countries in Europe experienced significant recessions.
- Of the largest world economies, only **China's** continued to grow at a rate of over **6** percent per year.
- Advanced economies were significantly impacted, emerging markets and developing economies were more resilient than in previous global downturns, although growth in these countries has slowed considerably.
- **Global Interconnectedness:** Living standards were severely affected and millions of people worldwide fell into deeper poverty. This occurred largely because developing economies depend on exports to, and direct investments from, the advanced economies that have all been hurt by the crisis.
- In order to stimulate economic activity, governments worldwide pumped hundreds of billions of dollars into their national economies. A key implication of recent events is that, when financial markets are unchecked or unregulated, crises spread quickly and take on global scale.
- The recent “European debt crisis” arose from various factors, especially the globalization of finance, real-estate bubbles, easy money, relaxed credit conditions, and excessive spending by national governments.
- **2010:** European Union provided rescue packages for Greece, Ireland, and Portugal, which found themselves unable to re-finance their own debts.
- **Changes:** Greater government intervention and the co-ownership of many private-sector enterprises.
- Major economic recovery helped drive worldwide economic growth.

■ **U.S. : Spending/Borrowing Mindset**

- 2000's: U.S. Federal Reserve Bank charged very low interest rates to banks. Easy bank loans.
- Easy money: Excessive consumer borrowing to purchase homes and durable goods, which led to an unsustainable overheating of U.S. economy.

- Aggravated by insufficient or ill-conceived regulation of the financial and banking sector—inadequate regulation of mortgage markets (e.g., subprime mortgages) and the banking sector in U.S.
- Strong legal and regulatory framework is critical to national economic well-being.

■ COVID-19

- Financial or economic crises may weaken consumer confidence and reduce spending on consumer goods, services, and other consumables.
- During the COVID-19, global growth declined to levels not seen since World War II.
- Many national economies did not begin to recover until 2023. Economies in Japan and several countries in Europe have remained sluggish.

■ **Exhibit 2.8** illustrates how GDP growth in advanced, developing, and emerging economies varies over time. In all three types of economies, GDP declined substantially due to the 2008 global recession and the financial crisis as well as during the COVID-19 pandemic in 2020.

■ **Historical Learning Point:** Even following deep recessions, the global economy has always rebounded to net GDP growth.

Loss of National Sovereignty

- *Sovereignty* is the ability of a nation to govern its own affairs.
- One country's laws cannot be applied or enforced in another country.
- **Globalization** can threaten national sovereignty.
 - MNE activities can interfere with the sovereign ability of governments to control their own economy, social structure, and political system.
 - Some corporations are bigger than the economies of many small nations, e.g., Walmart's total revenue is larger than the GDP of some nations, including Israel, Greece, and Poland.
 - Large multinationals can exert considerable influence on governments through lobbying or campaign contributions to influence legislation, e.g., a devaluation of the home currency would allow them greater price competitiveness in export markets.
- Still, even the largest firms are constrained by **market forces**.
- The resources that buyers and suppliers control are the result of free choice.
- In reality, market forces dominate companies.
- Some argue that gradual integration of the global economy and increased global competition combined with privatization of industries in various nations are making companies **less powerful**, e.g., Ford, Chrysler, and General Motors have become less dominant in U.S. auto market, with many more firms competing in U.S., including Toyota, Honda, Hyundai, Nissan, Volkswagen, BMW, and Tesla.
- Home-country market shares of domestic U.S. automakers have tumbled.
- To minimize globalization's harm and reap its benefits, governments should strive for an open and liberalized economic regimes:
 - (1) Freedom to enter and compete in markets;
 - (2) Protection of private and intellectual property;

- (3) Law enforcement;
- (4) Support voluntary exchange through markets versus political processes.
- (5) Appropriate regulation of banks and financial institutions.
 - Ask students to discuss the recent bank failures of Silicon Valley Bank (SVB), First Republic Bank (FRB) and Signature Bank—accounting for 2.4 percent of all assets in the banking sector.

★ Transparency of business and regulatory agencies is critical.

- Governments sometimes scrutinize corporate activity, e.g., Sarbanes-Oxley Act of 2002 in U.S.
- This legislation was a response to a series of major corporate and accounting scandals including those involving Enron, Tyco International, and WorldCom.
- A decline in public trust of accounting and reporting practices led to this legislation which introduced new/enhanced standards for all U.S. public company boards, management, and public accounting firms.

Offshoring

- **Offshoring** is the relocation of manufacturing and other value-chain activities to cost-effective destinations abroad.
- This creates countless new jobs and opportunities worldwide, but also costs many people their jobs.
- **Examples:**
 - **Ford, General Motors, and Volkswagen** all have transferred thousands of jobs from their factories in Germany to countries in Eastern Europe.
 - Partially due to mandated shorter working hours (often just 35 hours per week) and generous benefits made Germany less competitive, while Eastern Europe offers abundant low-wage workers.
 - In reaction, the German government loosened Germany's labor laws to conform to global realities, disrupting the lives of tens of thousands of German citizens.
 - **Ford and General Motors** have also laid off thousands of workers in U.S., resulting from competitive pressures from Europe, Japan, and South Korea.
 - **Ernst & Young** relocated much of its accounting support work to the Philippines.
 - **Massachusetts General Hospital** has its CT scans and X-rays interpreted by radiologists in India.
 - Many IT support services for customers in Germany are based in the Czech Republic and Romania.

Offshoring Waves

- Offshoring has resulted in **job losses** in many mature economies with relatively high wages.

■ **1960s–1970s:** The first wave of offshoring began with the shift of U.S. and European manufacturing of cars, shoes, electronics, textiles, and toys to cheap-labor locations such as Mexico and Southeast Asia.

■ **1990s:** The next wave ensued with the exodus of service sector jobs in credit card processing, software code writing, accounting, health care, and banking services.

■ Multinationals have been the focus of criticisms, labeled as “runaway” or “footloose” corporations—quick to relocate production to countries that offer better comparative advantages.

■ **Examples:**

■ **Polaris**, U.S. manufacturer of snowmobiles and all-terrain vehicles, moved its Osceola, Wisconsin, factory to Mexico. Closure of the plant, which once provided 515 jobs, devastated the small Wisconsin community, population 2,085. Management shifted manufacturing to Mexico in order to reduce production costs.

■ **Toyota** closed a Camry factory in Australia, resulting in the loss of thousands of jobs.

■ **Electrolux**, a Swedish manufacturer of home appliances, moved its Greenville, Michigan, refrigerator plant to Mexico. Electrolux had provided 2,700 jobs in this western Michigan community of 8,000. Despite repeated appeals by the local community, the labor union, and the State of Michigan, offering incentives to the company to stay, Electrolux went with its decision to shift manufacturing to Mexico.

■ **COVID-19** pandemic resulted in various plant closures in **2020** and beyond.

■ MNEs do create millions of jobs abroad, which help raise living standards.

■ **Example:** U.S. MNEs now employ about one million workers in each of Canada, China, Mexico, and the UK. Such positions help raise living standards in developing economies and emerging markets.

■ **Advantages of offshoring:**

- (1) Economies of scale by centralizing production locations;
- (2) Low-cost labor advantages in certain countries; and
- (3) Knowledge-sharing from contracting with experienced suppliers.

■ Those facing intense competition, shrinking profit margins, and unfavorable industry trends may achieve corporate survival through offshoring.

■ Countries with low-cost inputs and more favorable business environments clearly benefit from offshoring, e.g., China, India, Mexico, Brazil, and Poland.

Reshoring and Nearshoring

■ **Reshoring:** The return of manufacturing and services back to the home country (opposite of offshoring).

■ **Examples:**

■ **Ford** and **Boeing** have *reshored* thousands of jobs back to U.S.

■ **General Electric** *reshored* the production of energy-efficient water heaters from China back to U.S. in order to manage inventory and transportation costs better.

■ **Symington's**, a British food company, moved noodle production from China back to England in order to improve product quality, increase delivery speed, and manage the supply chain more effectively.

- **Apple** returned some computer manufacturing to U.S.
- **Reshoring rationale**
 - Rise of wages and other costs in emerging markets
 - Desire get closer to key customers in the advanced economies

■ Reshoring Trends

- Accelerated in recent years.
- Producing goods in Germany, Japan, U.S. and other advanced economies has long been expensive, mainly due to the higher cost of labor.
- However, manufacturing in such countries recently has become more viable due to the automation of production, through the increased use of AI and robotics
- Several additional factors have led many U.S.-based companies to establish new manufacturing operations in U.S.
- These include:
 - Rising trade tensions with China
 - Disruptions in global supply chains
 - New costly tariffs on imported goods
 - Rising wages and other business costs in emerging market countries
- U.S. industries that have benefited from reshoring especially in electric vehicles, batteries, semiconductors, and liquid natural gas.

■ Nearshoring

- *Nearshoring* is similar to reshoring and refers to the relocation of manufacturing and services to a nearby country, often sharing a border with the home country.
- Nearshoring provides advantages over reshoring as the firm often can obtain all the benefits of reshoring while being able to access low-cost labor, lower transportation costs, and fewer differences in culture and language.
- **Example:** Apparel industry—China and Honduras both offer lower cost manufacturing advantages.
- However, Honduras is much closer to Europe and U.S. than is China.
- Consequently, many firms in the apparel industry based in Europe and U.S. opt to locate manufacturing in Honduras due to lower transportation costs.
- In the wake of the COVID-19 pandemic and rising trade tensions with China, many U.S. companies relocated manufacturing from China to Mexico.
- A 2023 survey of supply chain professionals found that many U.S.-based firms that currently manufacture product overseas (particularly in Asia) planned to nearshore their supply chains to **Mexico**.
- **Reasons to make the change to Mexico:**
 - Shorter supply chains
 - Competitive labor costs
 - Superior transportation infrastructure

Effect on the Poor

- **Income distribution** refers to the allocation of GDP and national income among the members of a society.
- In some countries, a relatively small minority, often less than 10 percent, hold most of

the country's wealth, and the great majority of citizens live in poverty.

- Income inequality is substantial in several nations in Southern Africa and in Latin America.

- Advanced economies—income inequality is less of a factor in Japan and most countries in Northern Europe due mainly to cultural factors and public policies.

- Income inequality is relatively more common in U.S., which is home to many highly paid executives and other wealthy individuals.

- **Example: Nike** has been criticized for paying low wages to shoe factory workers in Asia, some of whom work in sweatshop conditions. Critics complained that while founder Phil Knight is a billionaire and Nike shoes sell for \$100 or more, some of Nike's suppliers pay their workers only a few dollars per day.

- **Income inequality: Complex and dynamic**

- Creation of new manufacturing jobs has increased wages for many individuals in China, Mexico, and other emerging markets; income levels in those same countries for other groups have remained relatively stagnant.

- Automation and technology have resulted in lower incomes for many people.

- Demand for high-skill workers has increased. Demand for lower-skill or less-educated workers has decreased b/c jobs that were historically done by low-skill workers are now performed by machines and digital platforms.

- **Criticisms of MNEs: Globalization can worsen income inequality.**

- High-value jobs remain in home country

- Low-value jobs, e.g., production translates to low wages in lower-cost countries, e.g., Mexico and Vietnam

- Worker exploitation

- Child labor employment

- Child labor is particularly troubling because it denies children educational opportunities that would contribute to their future development.

- International Labor Organization (www.ilo.org) reports that over **215 million** children aged **5–17** work worldwide.

- **73 million** children are believed to work in hazardous conditions.

- Labor exploitation and sweatshop conditions are genuine concerns in many developing economies.

- Unfortunately, consideration must be given to the other choices available to people in those countries.

- **A low-paying job may be better than finding no work at all.**

Negative Unintended Consequences

- Reduced living standards.

- Legislation that reduces child labor in the formal economic sector may have little effect on jobs in the informal economic sector (*underground economy*).

- Eliminating child labor does not automatically make children go to school instead of to work, and can worsen their living standards.

■ The concept of **Ethical Relativism** is important here, i.e., ethics can only be judged within its own context. Examining the job portfolio in Country X, if commensurately skill-based jobs pay similar wages, then relative to that country, the wages are reasonable. Relative to U.S. standards, they may not be. Also, although child labor is deplorable, U.S. exploited children in much the same way until the Child Labor laws were passed.

■ Countries that attract investment due to low-cost labor eventually lose their attractiveness as wages rise.

■ The unintended consequences of globalization place greater responsibility on governments to ensure that the fruits of economic progress are shared fairly, and all citizens have access to improved welfare, living standards, and higher-value-adding, higher-paying jobs.

Positive Long-Term Consequences

■ For most developing countries, globalization supports improved working conditions, higher wage growth, a growing economy and improved standards of living.

■ **Example:**

■ **Vietnam:** The growth of the footwear industry in Vietnam translated into a five-fold increase in wages.

■ Countries that liberalize international trade and investment enjoy faster per-capita economic growth.

■ Developing economies that seek to integrate with the rest of the world tend to have faster per-capita GDP growth.

■ **Exhibit 2.9** depicts the GDP growth of many countries, 2013–2022.

■ Most nations experienced positive growth.

■ **China** and **India** have been the fastest growing economies, registering annual GDP growth rates of 9.0 percent and 7.0 percent, respectively. However, China's growth slowed to about 6.5 percent in 2017–2019.

■ Most African countries continue to suffer low or negative GDP growth and alarming poverty, which worsened during the global recession.

■ **Exhibit 2.10** illustrates how global poverty is declining over time. Specifically, it reveals the income levels of people in developing economies.

■ Poverty remains a major factor in South Asia and sub-Saharan Africa (that part of Africa below the Saharan Desert), but even those areas have made much progress in the past decade.

■ The Middle East and North Africa, Latin America, and East Asia are home to billions of people whose daily incomes have risen substantially.

■ Overall, the number of people living in poverty in East and South Asia and Sub-Saharan Africa has declined consistently for the past few decades.

■ Much of the improvements are due to international trade and investment activities.

■ Developing countries can engage in a number of proactive measures in order to reduce poverty:

- Improve conditions for investment and saving;
- Liberalize markets and promote trade and investment;
- Build strong institutions and ensure good governance; and
- Invest in education and training to promote productivity upward mobility.

■ In turn advanced economies can play a role in reducing global poverty by:

- Making their markets more accessible to low-income countries;
- Providing debt relief to heavily indebted nations; and
- Facilitating the flow of technology, private capital, and direct investment into poor countries.

Effect on Sustainability and the Natural Environment

■ Globalization harms the environment by promoting manufacturing and economic activity that result in **pollution, habitat destruction, and deterioration of the ozone layer.**

■ **Example: China** is attracting much inward FDI and stimulating the growth of numerous industries, which results in new factories, infrastructure, and modern housing can spoil previously pristine environments; also, growing industrial demand for electricity led to construction of the **Three Gorges Dam**, which flooded agricultural lands, displaced one-million inhabitants and permanently altered the natural landscape of Eastern China.

■ Over time, governments pass legislation that promote improved environmental conditions; as globalization stimulates rising living standards; increasingly people focus on improving their environments

■ **Example: Japan** endured polluted rivers and smoggy cities in the early decades of its economic development following World War II. As Japan's economy grew, the Japanese passed tough environmental standards to restore their natural environments.

■ Evolving company values have led to **Corporate Social Responsibility (CSR)** or **Corporate Citizenship.**

■ **Examples** of firms that embrace practices that protect the environment, often at the expense of profits

■ **Ford and GM** (U.S. automakers) in Mexico

■ **Alcan** in Canada (aluminum)

■ **Kirin** in Japan (beverages)

■ **Google** in U.S. (Internet)

■ **Benetton** in Italy (clothing)

■ The **Conservation Coffee Alliance**, a consortium of companies, has committed approximately \$2 million to environmentally friendly coffee cultivation in Central America, Peru, and Colombia.

■ **Valeo**, a French innovative manufacturer of parts and components, makes powertrain systems and other components that reduce CO₂ emissions by increasing the proportion of electrical power in vehicle engines.

- Valeo customers include Toyota, Volkswagen, and numerous other major automakers worldwide.
- They produce energy-efficient electric motors for cars, scooters, and bicycles, and also heating and air conditioning systems for cars that minimize electricity usage and air pollution.
- For electric vehicles, they offer cooling systems that maintain batteries at an ideal temperature to minimize energy usage while driving.
- They are a global leader in waste reduction, recycling, and the remanufacture of end-of-life alternators, transmissions, and other auto components.

Effect on National Culture

- Globalization pressures national culture.
 - Market liberalization opens the door to foreign firms, global brands, unfamiliar products, and different values.
 - In the business sector, firms employ global technologies and production methods, leading to more universal operating methods and outputs.
 - Hollywood dominates the global entertainment industry.
 - Propelled by advertisements and Hollywood, consumers increasingly wear similar clothing and drive similar cars, watch the same movies, listen to the same recording stars increasingly modeled to advanced countries, especially U.S.
 - Thus, people's norms, values, and behaviors tend to **homogenize** over time.
 - Transnational advertising leads to the emergence of societal values.
-
- **Critics** call these trends the “McDonalds-ization” or the “Coca-Colonization” of the world, referring to a type of cultural colonization.
 - Governments try to block “**cultural imperialism**” and prevent the erosion of local traditions.
 - Hollywood, McDonald's, and Disneyland are seen as Trojan horses that permanently alter food preferences, lifestyles, and other aspects of traditional life and national sovereignty—inevitable with globalization.
 - **Homogenization** is accelerated by technology—through exposure, appetites grow for Western products and services, which signal higher living standards.
 - **Example:** Despite low per-capita income, many Chinese buy consumer electronics such as smartphones and TV sets.
 - Global media have a pervasive effect on the local culture, gradually shifting it toward a universal norm.

■ Cultural influence flows both ways.

■ Examples:

■ **India:** Cafe Spice (<http://cafespice.com>) is an Indian food company whose founder hails from Mumbai, which is transforming American tastes by selling curry dishes and other Indian favorites in cafeterias and supermarkets. Cafe Spice is making Indian cuisine mainstream in U.S.

■ **China:** As the influence of the Chinese economy grows over time, Western countries will likely adopt cultural norms from China as well. Chinese restaurants and some Chinese traditions are already a way of life in much of the world outside China.

■ **Japan:** Advanced Fresh Concepts is a Japanese food company that is transforming American fast food by selling sushi and other Japanese favorites in supermarkets throughout U.S.

■ **Cultural imperialism** is offset by the countertrend of **local nationalism**.

■ **Heterogeneity** remains strong in religious differences, indigenous languages and national identity.

■ **Protecting National Identity**

■ **Examples:** In Belgium, Canada, and France, laws were passed to protect national language and culture.

Globalization and Africa

■ Africa is home to the poorest countries. The majority of its 1 billion people live on less than \$5 a day. It is the area least integrated into the world economy and accounts for less than 5 percent of world trade.

■ Although it has abundant natural resources, Africa remains underdeveloped due to inadequate commercial infrastructure, lack of access to foreign capital, high illiteracy, government corruption, wars, and the spread of AIDS.

■ Traditional foreign aid provided by advanced economies have achieved little success. Despite billions of dollars of aid to Africa, per-capita income is increasing relatively slowly.

■ Business-based models, however, have propelled development in several sub-Saharan African countries, which experienced significant economic growth by increasing international trade in commodities.

■ **Example:** Africa is a major supplier of **petroleum** to Europe and U.S.; Angola is among the top oil suppliers to China.

■ **Ripple effect:** Certain sectors in Africa have boomed along with the economic development—foreign banks, retailers, and MNEs have set up operations in the continent.

■ In formerly war-torn **Rwanda**, countless business opportunities have emerged in mining, tourism, telecommunications, and real estate.

■ **China** and **India** are beating out U.S. firms and quickly increasing their businesses in Africa.

■ International trade and investment are helping to address many of Africa's most pressing development needs.

■ **Samsung** set a \$10 billion sales goal in Africa; committed to training 10,000 African engineers and technicians to develop the capabilities needed for success.

■ Many years before Africa achieves a critical mass of infrastructure and business culture sufficient to raise within-continent average incomes.

■ Technology plays a critical role in reducing poverty.

■ Increased use of mobile phones, satellite technology, and IT is helping farmers in Africa to increase crop yields and agricultural productivity by developing databases of information that support farmers in minimizing crop damage and improve farming methods.

■ Also satellite technology helps farmers be proactive about draught likelihoods and

prepare accordingly.

IV. CLOSING CASE

A DEBATE ON THE GOOD AND HARM OF GLOBALIZATION

- **Summary [Identifying key issues]**

- The interchange among the following three participants underscores the various pro and con issues embedded in the issues of globalization, and the diverse perspectives of globalization held by different interest groups.

Players:

- **Activist:** An anti-globalization advocate
- **Business Executive:** With extensive international dealings
- **Trade Official:** represents the federal government

ACTIVIST

- Globalization:

- Ignores human rights and employs substandard working conditions—low wages and exploited workers.
- Results in domestic job losses.
- Detrimentally affects the natural environment—with increased international trade, the more irreparable the harm, e.g., pollution, ecological imbalances, and deterioration of the ozone. (Countries with weak environmental standards will have factories with minimal environmental standards.)
- Poverty resulting from contagion caused by the recent economic crisis resulting from COVID-19.
- Interferes with the sovereignty of national governments.
- Impedes with government policies, e.g., when Apple or Toyota are bigger than most countries in Africa; it is more difficult for governments to manage policies regarding taxes, monetary policy, social issues, and exchange rates.
- Imposes Western cultural standards on the rest of the world, e.g., McDonald's is everywhere. They see U.S. as a dominating power that uses globalization to its own advantage, harming the economic, cultural, and environmental interests of the rest of the world.
- Limits the benefits of technologies to those who can afford to access it.
- Widens the gap between rich and poor, i.e., weakening poor countries.
- As inequality grows, people have less and less in common.
- Multinational companies exploit poor countries and expose their people to harmful competition.
- Infant industries in developing economies can't make it when they're confronted with the power of giant multinational firms.
- Governments have not done enough to regulate the excesses of capitalism. This was evident in the global financial and economic crises, from which the world is still recovering.

BUSINESS EXECUTIVE

- Participants in the global economy:
 - Provide better-paying jobs, have more profits, pay higher taxes, and stimulate purchases from local suppliers.
 - Create new jobs, enhance local living standards, and challenge firms to stay competitive in a challenging global marketplace.
 - Exporters pay higher wages and provide better benefits than non-exporting firms.
 - Need access to foreign markets in order to recoup their return on investment, especially firms heavily invested in R&D, e.g., those in the pharmaceutical industry.
 - The research cost of curing COVID-19 or eradicating tuberculosis is prohibitive.
 - Increase living standards worldwide through international trade
 - Argue that a good economy and a clean environment are not mutually exclusive. The more affluent people are, the more they will care about their environment and pass laws to protect it.
 - Firms increasingly recognize the importance of being good global citizens.
 - **Motorola** has profited from its business in China, but it has also contributed to the development of educational systems in that country.
 - **Coca-Cola** earns big profits from its business in Africa, but it also contributes to developing educational systems on that continent.
 - Japanese MNEs invest in the communities where they do business.
 - **Bill Gates** is going to do more than any government to get people computers and get them connected to the Internet. He has created the largest fund to combat diseases of the poor, e.g., Malaria. He and **Warren Buffett** are tackling many of these diseases such as AIDS.
 - **GlaxoSmithKline** is working with the World Health Organization to find a cure for Elephantiasis.
 - In the long run, uninterrupted international commerce is good for everyone.

TRADE OFFICIAL

- Free trade is strongly valued by the current administration, as are freedom and democracy:
 - The administration strongly supported free trade with Canada and Mexico, and this already had a positive impact on U.S. economy, increasing exports to Mexico, creating jobs for Americans, and leading to improved investment opportunities.
 - Canada recently completed a free-trade agreement with Chile.
 - Economic ties lead to cultural ties and more peaceful relations.
 - When negotiating trade agreements, advocates should commensurately consider environmental factors.
 - Proponents of worldwide freedom and democracy must also endorse free trade.
 - Globalization is complex and the pros and cons are intertwined.
 - Since the 1980s, globalization has grown, and global poverty has declined.

- It is true that income disparities have increased over the last 50 years while international trade has integrated the world economy.
- The world has experienced an overall rising tide in terms of standard of living.
- It is better to live in a world in which 25 percent of the people are affluent and 75 percent are poor, than a world in which nearly 100 percent of the people are poor, as was the case throughout most of human history.
- Countries benefit from trade, but governments are responsible for protecting citizens from the negative or unintended consequences that may result from trade.

THE OUTLOOK FOR GLOBALIZATION

- In recent years, nationalistic sentiment has triggered an “our country first” mentality and skepticism or outright hostility toward globalization.
- Donald Trump’s election as U.S. president resulted in anti-trade policies and efforts to reduce immigration.
- After taking office, the Trump administration began renegotiating the North American Free Trade Agreement (NAFTA) and withdrew from the Trans-Pacific Partnership (TPP).
- In 2020, UK withdrew from the European Union. “Brexit” voters were motivated by concerns about national sovereignty and increasing immigration into the UK.
- Elsewhere in Europe, nationalist political parties came to power, reflecting a popular backlash against open borders and unfettered globalization.
- Labor unions, human rights activists, environmentalists, and religious groups are among those opposed to globalization.
- Recent events represent a step backward from long-standing forward movement on free trade and global commerce.
- Many experts view the backlash as a predictable, temporary pause in the evolution of globalization. They argue that large-scale transformations often progress—one step back for every two steps forward.
- No one knows for sure what the future holds. Is globalization receding, or is it here to stay?

• SUGGESTED SOLUTIONS TO CASE QUESTIONS

2-4. Do you think globalization and MNE activity are creating problems for the world? What kinds of problems can you identify? What are the unintended consequences of international business?

(LO 2.1; LO 2.6; AACSB: Application of knowledge)

Activists argue that globalization is cultural imperialism with severe consequences on nations, cultures, people, and the environment.

- Globalization:
 - Ignores human rights and employs substandard working conditions—low wages and exploited workers.
 - Results in domestic job losses.

- Detrimently affects the natural environment, with increased international trade, the more irreparable the harm, e.g., pollution, global warming, ecological imbalances, and habitat destruction.

- Interferes with the sovereignty of national governments.

- Impedes with government policies, e.g., when a firm like General Motors is a nation's biggest company, as it is in Canada; it is more difficult for governments to manage policies regarding taxes, monetary policy, social issues, and exchange rates.

- Imposes Western cultural standards on the rest of the world, e.g., McDonald's is everywhere. This effect is especially profound in the Middle East, where Islamic activists oppose MNEs due to the imposition of alien values in secular terms. They see U.S. as a dominating power that uses globalization to its own advantage, harming the economic, cultural, and environmental interests of the rest of the world.

- Limits the benefits of technologies to those who can afford to access it.

- Widens the gap between rich and poor, i.e. weakening poor countries.

- Hampers infant industries in developing economies.

2-5. Summarize the arguments made by the business executive in favor of globalization. What is the role of technology in supporting company performance in a globalizing business environment?

(LO 2.3; AACSB: Application of knowledge)

Economic "globalization" refers to the increasing integration of economies around the world. It also refers to the movement of goods and services (international trade), people (labor), capital, and knowledge (technology) across international borders.

Pro-globalization arguments:

- Participants in the global economy:

- Provide better-paying jobs, have more profits, pay higher taxes, and stimulate purchases from local suppliers.

- Create new jobs, enhance local living standards, and challenge firms to stay competitive in a challenging global marketplace.

- Pay higher wages and provide better benefits than non-exporting firms.

- Need access to foreign markets in order to recoup their return on investment, especially firms heavily invested in R&D, e.g., those in the pharmaceutical industry.

- Increase living standards worldwide through international trade.

- Argue that a good economy and a clean environment are not mutually exclusive. The more affluent people are, the more they will care about their environment and pass laws to protect it.

- Recognize the importance of being good global citizens. **Motorola** has profited from its business in China, but it has also contributed to the development of educational systems in that country. **Bill Gates** is going to do more than any government to get people computers and get them hooked up on the Internet. He has created the largest fund to combat malaria. He and **Warren Buffett** are tackling Aids. **SmithKline Beecham** is working with the World Health Organization to find a cure for Elephantiasis.

- **Technology enables globalization:** Technological advances in communications, information, manufacturing, and transportation have served as a remarkable facilitator of cross-border trade and investment.
- The twin trends of globalization and technology transform national economies and promote outsourcing/offshoring.
- Information technology allows for more efficient adaptation to international markets as well as producing smaller lot sizes to target niche markets.
- Among the industries, most dependent on technological innovation are biotechnology, information technology, new materials, pharmaceuticals, robotics, medical equipment and devices, lasers and fiber optics, and various electronics-based industries.
- IT alters industry structure, changes the rules of competition, and creates new ways to outperform rivals, thus forming the basis for competitive advantage.
- Smaller firms can leverage IT to design and produce customized products that can be targeted to narrow, cross-national niches.
- The impact of IT on our daily lives has been profound—cell phones, Google, Yahoo, etc.
- IT supports strategic decisions such as the selection of qualified foreign business partners based on sound information and intelligence.
- Technology plays a critical role in reducing poverty.
- Increased use of mobile phones, satellite technology, and IT is helping farmers in Africa to increase crop yields and agricultural productivity by developing databases of information that support farmers in minimizing crop damage and improve farming methods.
- Also satellite technology helps farmers be proactive about draught likelihoods and prepare accordingly.

2-6. What are the roles of state and federal governments in dealing with globalization? What is government's role in protecting citizens from the potential negative effects of globalization? What kinds of government actions would you recommend?

(LO 2.1; LO 2.2; AACSB: Reflective thinking)

- To minimize globalization's harm and reap its benefits, governments should strive for an open and liberalized economic regime:
 - Freedom to enter and compete in markets
 - Protection of persons and intellectual property
 - Rule of law
 - Voluntary exchange imposed by markets rather than through the political process
 - Regulation of credit, labor, and business
 - Transparency of the economic actors including businesses and regulatory agencies is fundamentally critical, e.g., Sarbanes-Oxley Act of 2002
- Advanced economies can play a role in reducing poverty by:
 - Making their markets more accessible to low-income countries;

- Facilitating the flows of direct investment, other private capital, and technology into low-income countries; and
- Providing debt relief to heavily indebted poor countries.
- The unintended consequences of globalization place greater responsibility on governments to ensure that the fruits of economic progress are shared equally, and all citizens have access to improved welfare, living standards, and higher-value-adding, higher-paying jobs.

2-7. What is the role of education in (1) addressing the problems raised in the roundtable, (2) creating societies in which people can deal effectively with public policy issues, and (3) cultivating citizens who can compete effectively in the global marketplace?

(LO 2.5; LO 2.6; AACSB: Reflective thinking)

- Education has a responsibility to cultivate individuals who will become productive members of societies where diverse views such as those expressed by the Activist, the Business Executive, and the Trade Official represented in this case are understood and respected.
- The role of education is to be objective, to present all relevant perspectives, and to endow individuals with a skill set that will enable them to analyze, synthesize, and draw conclusions based on facts. This means that a diverse and broad educational foundation is paramount for strong, global leaders. Part of this education is an understanding of global firm imperatives:
 1. *Configure the value chain globally.*
 2. *Collaborate with foreign partners.*
 3. *Coordinate operations on a global scale.*
 4. *Target global markets.*
 5. *Standardize products, services, and brands.*
 6. *Build global capabilities and a global organization.*

2-8. Do you believe globalization is receding or advancing? Defend your answer.

Globalization has several dimensions: international trade and global commerce, capital and investment flows, migration and movement of people, and the dissemination of knowledge. Environmental challenges such as global warming, cross-border pollution of air and water, are associated with globalization. International trade and global commerce expanded substantially and rapidly over the past several decades. In the last few years, however, it can be shown that trade and global commerce have been receding. However, capital and investment flows remain strong. The migration of people continues.

V. END OF CHAPTER QUESTIONS**• TEST YOUR COMPREHENSION**

AACSB and CKR Intangible Human Skills to improve employability and success in the workplace: Written and Oral Communication, Ethical Understanding and Reasoning, Analytical thinking, Reflective Thinking, Diverse and Multicultural Work Environments

2-9. What was the precursor to globalization, and why was it important?

(LO 2.1; LO 2.2; AACSB: Application of knowledge)

- The precursor was cross-border trading. It gave civilizations a chance to grow and to expand as a result of being exposed to innovations and ideas.
- It also encouraged civilizations to cooperate and rely on one another instead of going to war.

2-10. What important changes happened during the second phase of globalization?

(LO 2.1; LO 2.2; AACSB: Application of knowledge)

- The second phase of globalization happened at the beginning of the twentieth century and saw the increasing importance of electricity and steel production.
- Western Europe was the most industrialized region in the world. Its colonization of countries in Asia, Africa, and the Middle East led to the establishment of early multinational enterprises (MNEs).
- There were also considerable changes in agriculture, extractive industries, and manufacturing.
- All of these were vital foundation blocks of continued globalization after World War 2.

Phases of Globalization

- **Exhibit 2.1** summarizes the Phases of Globalization. Since the 1800s, the evolution of market globalization has witnessed **four distinct phases**, each triggered by global events and technological discoveries:

The First Phase of Globalization**1830 – 1880s**

- The *first phase of globalization* began about 1830 and peaked around 1880.
- Cross-border commerce became widespread in this period due to the growth of railroads, efficient ocean transport, and the rise of large manufacturing and trading firms.
- The inventions of the telegraph and telephone in the 1800s facilitated information flows between and within nations and greatly aided early efforts to manage companies' supply chains.

The Second Phase of Globalization

1900–1930

- *The second phase of globalization* began around 1900 and was correlated with the rise of electricity and steel production.
- This phase reached its height just before the Great Depression, a worldwide economic downturn that started in 1929.
- At the turn-of-the-century, Western Europe was the most industrialized region and its colonization of countries worldwide led to the establishment of some of the earliest subsidiaries of multinational enterprises (MNEs).
- European companies such as BASF, Nestlé, Shell, Siemens and British Petroleum had established foreign manufacturing plants by 1900.
- The Italian manufacturer Fiat supplied vehicles to nations on both sides of the war.

The Third Phase of Globalization

1948 - 1970s

- The third phase of globalization followed World War II.
- At war's end in 1945, substantial pent-up demand existed for consumer products, as well as for resources to rebuild Europe and Japan.
- Among the leading economies, the U.S. was least harmed by the war and became the world's dominant economy.
- Substantial government aid helped stimulate economic activity in Europe.
- Pre-war years had been characterized by high tariffs and strict controls on currency and capital movements.
- Post-war, leading industrialized countries, including Australia, Britain and the U.S. sought to reduce international trade barriers.
- The result of this effort was the *General Agreement on Tariffs and Trade* (GATT) – the precursor to the World Trade Organization (WTO).
- GATT, emerging from the Bretton Woods Conference of 23 nations in 1947, served as a global negotiating forum for liberalizing trade barriers, and marked the beginning of a series of annual meetings aimed at reducing international trade and investment barriers.
- Participating governments recognized that liberalized trade would stimulate industrialization, modernization, and better living standards.
- Eventually, many more nations joined the GATT, and their efforts led to the formation of the WTO.
- **WTO**- A multilateral governing body empowered to regulate international trade and investment.
- Some 149 nations are now members of the WTO.
- Additional global cooperation led to the formation of key international organizations such as the International Monetary Fund, the World Bank, and the United Nations.
- Early multinationals from this third phase of globalization originated from the U.S., Western Europe, and Japan.
- Firms like Unilever, Philips, Royal Dutch-Shell, British Petroleum, and Bayer organized their businesses by establishing autonomous subsidiaries in each of the foreign countries where they did business.

Numerous companies developed strong brand names, including Nestlé, Kraft, John Deere, Kellogg, Lockheed, Caterpillar, Coca-Cola, Chrysler, Pepsi-Cola, Singer, and Levi's.

- U.S. multinationals such as IBM, Boeing, Texas Instruments, Xerox, and McDonnell Douglas spread out across the globe, leveraging technological competitive advantages.
- Gradually, MNEs began seeking cost advantages by locating factories in developing countries with low labor costs.
- 1960s- Growing MNE activities and early efforts at trade liberalization resulted in substantial increases in international trade and investment.
- **1960s/1970s- Recovered from World War II, MNEs in Europe and Japan began to challenge the global dominance of U.S. multinationals.**
- With the easing of trade barriers and currency controls, capital began to flow freely across national borders, leading to integration of global financial markets.

The Fourth Phase of Globalization 1980s – About 2006

- *The fourth and current phase of globalization* began in the early 1980s.
- This period witnessed enormous growth in cross-border trade and investment activity. The following innovations caused this phase:
 - Commercialization of the personal computer
 - Arrival of the Internet and Web browsers
 - Advances in communication and manufacturing technologies
 - Collapse of the Soviet Union and ensuing market liberalization in central and Eastern Europe
 - Substantial industrialization and modernization efforts of East Asian economies including China
- Growing global prosperity began to reach **emerging markets** such as Brazil, India and Mexico.
- 1980s - Huge increases in FDI, especially in capital- and technology- intensive sectors
- Internationalization made feasible for small and medium-sized enterprises (**SMEs**) - geographically distant yet electronically interconnected- due to technological advances in information, communications, and transportation.
- These technologies also facilitated the globalization of the **service sector** in areas such as banking, entertainment, tourism, insurance, and retailing.
- Growing integration inspired mergers/acquisitions such as GM acquiring Saab in Sweden, Ford taking over Mazda in Japan, and Daimler Benz acquiring Chrysler in the U.S.
- Globalization and technological advances resulted in the “death of distance”. That is, a shrinking world in terms of geographic and cultural distances that long separated nations.

The Fifth and Current Phase of Globalization

2006 to the present

- *The fifth and current phase of globalization* began in about 2006 and continues.
- Rise of digital technologies, and other new technologies, which are boosting manufacturing productivity and the efficiency of international trade in services.
- Technological breakthroughs in fields such as quantum computing, the Internet of Things, artificial intelligence, robotics, autonomous vehicles, 3D printing, nanotechnology, and biotechnology are blurring the lines between the physical, digital, and biological spheres.
- Digital and other new technologies are boosting the efficiency of international trade, especially in services. Much retailing is done via Amazon and Alibaba, which sell their offerings around the world via online platforms.
- The value of world exports of services rose from about \$3 trillion in 2007 to more than \$5 trillion in 2017.
- Thanks to technological advances, national borders and traditional country-based business models are losing much of their relevance.
- BUT, growth in international trade of goods has slowed during this phase.
- Just as new technologies support international services trade, they also increase the productivity of local manufacturing. This tendency reduces firms' cost of domestic operations and increases the attractiveness of homegrown, local manufacturing. FDI as a share of total investment has declined.
- Emerging market countries increasingly focus on developing local markets for locally manufactured products.

2-11. Summarize the six dimensions of globalization. Which of these do you think is the most visible manifestation of globalization?

(LO 2.4; AACSB: Application of knowledge)

There is no one right answer for the second part of this question, as long as you justify your selection. Here are the **six dimensions**:

1. Integration and interdependence of national economies

- The multicountry *aggregate* activities of reconfiguring and integrating value-chain activities gives rise to *economic integration* (through trade, investment, geographic distribution of firm resources).
- **Value chain:** The sequence of value-adding activities performed by a firm in the process of creating a product: R&D, procurement, manufacturing, marketing, distribution, sales and service.
- **Governments** contribute to this integration by:
 - (1) Lowering trade and investment barriers;
 - (2) Harmonizing their monetary and fiscal policies *within regional economic integration* blocs (also known as trade blocs), e.g., EU;
 - (3) Creating *supranational* institutions that transcend national borders and involve cooperation among several countries that seek further reductions in trade and investment barriers, e.g., the World Bank, International Monetary Fund, and World Trade Organization.

2. Rise of regional economic integration blocs

- Emergence of **regional economic integration blocs** since the 1950s
 - **Trade bloc:** Consist of groups of countries that facilitate reduced trade and investment barriers among themselves.
 - **Examples:** The U.S.–Mexico–Canada Agreement (*USMCA*) which replaced the North America Free Trade Agreement (*NAFTA*), the Asia Pacific Economic Cooperation zone (*APEC*), and *Mercosur* in Latin America.
 - In more advanced stages (common market), barriers to the cross-border flow of capital and labor, are also removed, e.g., European Union (www.europa.eu).
- In addition to adopting free trade among its members, the EU has harmonized fiscal and monetary policies and adopted common business regulations.
- The European Union is the only example of an economic and monetary union, with its common currency of the *euro*.

3. Growth of global investment and financial flows

- Foreign direct investment (FDI) has grown dramatically due to global sourcing.
- Firms and governments undertake global currency trading to finance cross-border trade and investment.
- The globalization of capital, i.e., the free movement of capital (denominated in dollars, euros, yen, and other world currencies) around the world extends economic activities across the globe and fosters interconnectedness among world economies.
- Commercial and investment banking has become a global industry.
- The bond market has gained worldwide scope, with foreign bonds representing a major source of debt financing for governments and firms.

■ Negative effect of integration:

Examples:

- **2008:** When U.S. experienced a banking crisis, the contagion quickly spread to Europe, Japan, and emerging markets, triggering a global recession.
- **1997:** When Thailand and Malaysia experienced a monetary crisis, it quickly spread to South Korea, Indonesia, the Philippines and elsewhere, causing prolonged recession in most East Asian economies.

4. Convergence of consumer lifestyles and preferences

- Lifestyles and preferences are converging, i.e., increasingly *standardized*, resulting in global market segments.
- Global media and the Internet contribute to the convergence of buyer preferences, in part by emphasizing/commercializing a particular lifestyle.
- **Universal demand:**
- **Examples:**
 - Goods, clothing, automobiles, and electronics.
 - iPhones, Levi's jeans, and Hollywood movies (*Avatar* and *Spider-Man*).
 - Industrial markets: Professional buyers source raw materials, parts, and components that are increasingly *standardized*.

■ **Double-edged sword:** While converging tastes facilitate the marketing of standardized products/services to global consumers, they also signal the loss of traditional lifestyles, values, and cultures in individual countries and national sovereignty.

5. Globalization of production

■ Intense global competition has made *economies of scale* a critical key success factor. Global players are forced to evaluate global sourcing and standardization, capitalizing on location differences in the cost and quality of factor inputs.

■ **Offshoring:** This explains why auto and textile firms have relocated to low labor-cost locations such as China, Mexico, and Poland.

6. Globalization of services

■ The services sector is undergoing internationalization and global sourcing.

■ Firms in banking, hospitality, retailing, and other service industries are rapidly expanding abroad.

■ **Examples:**

■ The real estate giant REMAX has established more than 6,500 offices in over 100 countries.

■ The French firm Accor operates hundreds of hotels worldwide.

■ Firms increasingly outsource business processes and other services-based value chain activities to vendors located abroad.

■ In a new trend, people are increasingly going abroad to take advantage of low-cost medical procedures.

■ *Medical tourism:* Consumers travel abroad for medical procedures such as hysterectomies, cataract, knee and cosmetic surgeries.

■ The distribution of foreign direct investment has changed markedly, from an emphasis on manufacturing to services.

2-12. Describe the five driving forces of globalization.

(LO 2.2; AACSB: Application of knowledge)

■ **Five drivers** of market globalization:

1. Worldwide reduction of barriers to trade and investment.

■ National governments have sought to reduce trade and investment barriers, which has accelerated global economic integration, e.g., tariffs on the import of industrial and medical equipment have declined nearly to zero in many countries.

■ The **World Trade Organization** (WTO) has facilitated this.

■ The WTO is a multilateral governing body empowered to regulate international trade and investment and has been engaged in an ongoing liberalization of member states' economies since the late 1940s.

■ Joining the WTO in 2001, even China made its market more accessible to foreign companies.

- Market openings are closely associated with the emergence of regional economic integration blocs, a key dimension of market globalization.
- The rise of nationalistic politicians in some countries has hindered the reduction of trade and investment barriers, although overall trend remains that of increasing free trade.

2. Market liberalization and adoption of free markets.

- The Berlin Wall, built in 1961, separated the communist East Berlin from the democratic West Berlin.
- The tearing down of the Berlin Wall in 1989, the collapse of the Soviet Union's economy that same year, and China's free-market reforms signaled the end of the 50-year Cold War between communist regimes and democracy.
- It was the transition from **command economies** to **market-driven economies** and free-market reforms that facilitated the integration of China, India, Russia and other formerly protectionist countries into the global economy.
- The Asian economies, India, Indonesia, Malaysia, and South Korea, embraced **market-based reforms**.
- These events opened roughly **one-third** of the world to freer international trade and investment.
- China, India, and Eastern Europe have become some of the most cost-effective locations for producing goods and services.
- Privatization of previously state-owned industries promotes economic efficiency and attracts foreign capital into their national economies.

3. Industrialization, economic development, and modernization.

- Industrialization transitions emerging markets—Asia, Latin America, and Eastern Europe—from being **low value-adding** commodity producers, dependent on low-cost labor, to sophisticated competitive producers and exporters of premium products (**higher-value products**) such as electronics, computers, and aircraft.
- **Examples:**
 - **Brazil** is a leading producer of Embraer commercial aircraft
 - **Czech Republic** excels in manufacturing automobiles
 - **India** is a leading supplier of computer software
- **Gross National Income (GNI):** Perhaps the most important measure of economic development, i.e., standards of living and discretionary income.
- **Exhibit 2.3** maps the Gross National Income worldwide in \$US per capita. There is a direct correlation between low-income countries and low levels of globalization, e.g., **Africa, Asia, Latin America.**
- The adoption of modern technologies, improvement of living standards, and adoption of current legal and banking practices, increase the attractiveness of emerging markets as investment targets and facilitate the spread of ideas, products, and services across the globe.

■ **Exhibit 2.4** highlights the relationship between trade and gross domestic product (GDP—the volume of goods and services production). It suggests that countries that engage substantially in international trade also tend to experience strong economic development as measured by a rising GDP.

4. Integration of world financial markets.

- Integration of world financial markets enables internationally active firms to raise capital, borrow funds, and engage in foreign currency transactions.
- Cross-border transactions are made easier partly as a result of the ease with which funds can be transferred between buyers and sellers, i.e., through a network of international commercial banks.
- The SWIFT network connects more than 11,000 financial institutions in some 200 countries.
- The globalization of finance enables firms to pay suppliers and collect payments from customers worldwide.

5. Advances in technology.

- Technological advances in communications, information, manufacturing, and transportation have served as a remarkable facilitator of cross-border trade and investment.

2-13. What is the role of the World Trade Organization?

(LO 2.1; AACSB: Application of knowledge)

- The WTO is a multilateral governing body empowered to regulate international trade and investment, and has been engaged in an ongoing liberalization of member states' economies since the late 1940s.
- Joining the WTO in 2001, even China made its market more accessible to foreign companies.
- Market openings are closely associated with the emergence of regional economic integration blocs, a key dimension of market globalization.
- The rise of nationalistic politicians in some countries has hindered the reduction of trade and investment barriers, although overall trend remains that of increasing free trade.

2-14. In what areas have technological advances had their greatest effect on facilitating world trade and investment?

(LO 2.3; AACSB: Application of knowledge)

- **Globalization** makes internationalization an imperative, **technology** provides the *means*.
- **Technological advances and globalization**
Technology is one of the Drivers in the organizing framework
 - Key advances: Information technology, communications, the Internet, manufacturing,

and transportation. These systems help create an interconnected network of customers, suppliers, and intermediaries worldwide.

- IT has enabled international business to be affordable for all types of firms.

Technology has revolutionized business:

- Transformed national economies and promoted outsourcing/offshoring.
- Smaller firms can also leverage IT to design and produce customized products that can be targeted to narrow, cross-national niches.
- With technological leapfrogging and other IT advances, small- and medium-sized enterprises (SMEs) can afford to be early global players.
- Technological advances have spurred the development of new products and services that appeal to a global audience, e.g., Walkman, PlayStation 3, and PDAs.
- China and India are the new beachheads of technological advances.
- Spurred **innovation**: Societies and organizations innovate in various ways, including new product designs, new production processes, new approaches to marketing, and new ways of organizing or training.
- Among the industries most dependent on technological innovation are biotechnology, information technology, new materials, pharmaceuticals, robotics, medical equipment and devices, lasers and fiber optics, and various electronics-based industries.
- The cost of computer processing fell by 30 percent per year during the past three decades, and continues to fall.
- IT alters industry structure, changes the rules of competition, and creates new ways to outperform rivals, thus forming the basis for competitive advantage.
- The impact of IT on our daily lives has been profound—cell phones, online search engines, etc.
- Technology enables firms to interact with foreign partners and value-chain members in a more timely and cost-effective way, thus enabling competitive advantage.
- IT supports strategic decisions, e.g., the selection of qualified foreign business partners based on key information and intelligence.
- The remarkable performance of U.S. economy in the 1990s was largely due to aggressive integration of IT into firms' value-chain activities.
- More technological advances in other areas—artificial intelligence, big data, Internet of things, energy creation and storage—promise to provide additional progress through the 2020s.

2-15. How can internationalization improve value adding opportunities for a business?

(LO 2.5; AACSB: Reflective thinking)

The business can choose the country where the biggest advantages in value-adding activities are located. If a country has specific resources such as raw materials, manufacturing plants, skills, or expertise, then the business might choose to locate the value-adding activity there in order to maximize the return on the lowest levels of cost or input. Countries which offer the best returns in terms of investment compared to value added have become magnets for internationalized businesses.

2-16. What are the conditions under which contagion spreads from country to country?

(LO 2.6; AACSB: Reflective thinking)

The fact that international banking is so integrated leads to the transmission of financial instability. The contagion begins when one country sees deterioration in their balance sheets and reduces cross-border loans to people and organizations in countries that are not directly exposed to the financial problem. Countries with many banks making cross-border loans are likely to transmit the contagion more rapidly to more countries. Controls on credit operations can help to hold back contagion.

2-17. It is possible for an organization to add value through overseas operations?

(LO 2.5; AACSB: Reflective thinking)

- The simple answer is, yes, it can. All the stages of a corporation's value chain can be internationalized. There are opportunities to do this better, cheaper and more reliably elsewhere.
- From research and development all the way through to sales and service, there are examples of corporations opting for overseas locations for their operations.
- The internationalization of some processes has been reversed as a result of customer resistance and problems with the service being provided. However, there is still a high possibility of cost reductions and a potential set of advantages arising from specialist skills.

• APPLY YOUR UNDERSTANDING

AACSB and CKR Intangible Human Skills to improve employability and success in the workplace: Ethical Understanding and Reasoning, Analytical thinking, Reflective Thinking, Application of Knowledge

2-18. In 2017, the Singapore's Deputy Prime Minister Tharman Shanmugaratnam stated that the country was aiming to become a key part in the global value chain. The statement was made in the wake of the U.S. electronics firm Jabil announcing that they would be setting up a new manufacturing research and development facility in Singapore. For the minister, it showed that Singapore was well placed to provide all that was necessary to shorten value chains and enable products to be made much closer to the final marketplace. The net result was Jabil Blue Sky Singapore, which operates as an innovation and collaboration hub. How can a country secure a place in the global value chain? What are the advantages to a business in locating in such a country?

(LO 2.4; AACSB: Analytical Thinking)

In terms of positioning and securing a place in the global value chain, a country needs to be able to offer a service, skill, or other dimension that is hard to replicate elsewhere. Singapore has a reputation for being flexible and customer-centric. They have a highly skilled and fairly docile (in terms of union activism and suchlike) workforce. They are

also close to many of the major markets in Asia. They can be a more stable alternative to China as they have closer links to the Western countries.

There has been considerable fragmentation of production, and countries have been keen to introduce the right trade and investment policies to attract production and development of products and services. Developing countries may be at a disadvantage. Businesses no longer make products in one country—they may manufacture in a number of countries and assemble in others, and each of them adds value to the end product. Involvement in the global value chain is important to all countries as they can be powerful drivers in terms of job creation, higher living standards, and more efficient use of resources. At the same time, technology flows into the country, employees gain skills, employment increases, and the economy grows faster.

Countries that can offer high-value added services, which possess advanced technological skills and superior understanding of processes, will move to the head of the queue when businesses are looking for locations. A combination of competitive production costs and high-quality technology is often enough to attract businesses.

The process begins with optimizing the chances of getting involved in the global value chain. Opening borders, attracting investment, promoting the private sector, as well as coordinating government activity and policy (including business services, logistics, conforming to international standards, etc.) are all measures that increase a country's chances.

2-19. Globalization provides numerous advantages to businesses and consumers around the world. At the same time, some critics believe that globalization is harming various aspects of life and commerce. In what ways is globalization good for firms and consumers? In what ways is globalization harmful to firms and consumers?

(LO 2.5; LO 2.6; AACSB: Analytical thinking)

Globalization: PROS

- **Positive consequences** of market globalization: Cross-border trade and investment opened the world to innovations and progress while increasing performance standards, currently known as *global benchmarking* or *world class*.

- Globalization is the heightened ability of a firm to internationalize its *value chain* (reconfigure key value-adding activities), leading to greater international integration and cost efficiencies.

- Advantages of offshoring:

- (1) Achieve economies of scale by centralizing production fewer locations around the world;
- (2) Move production and sourcing to countries with low-cost labor; and
- (3) Access specialist knowledge by contracting with outside suppliers in particular industries.

- Those facing intense competition, shrinking profit margins, and unfavorable industry trends may achieve corporate survival through offshoring.

- Countries which liberalize international trade and investment enjoy faster per capita economic growth.

- Emerging markets (*technological leapfrogging*) and consumers (reduced prices and greater selection) are the beneficiaries.
- Knowledge work can be developed worldwide and will locate where maximum factor advantages accrue to the firm.
- Free trade and global sourcing benefit consumers worldwide to receive maximum quality at minimum price.
- Both producer and consumer nations can increase their wealth and quality of life.
- Provide better-paying jobs, have more profits, pay higher taxes, and stimulate local economy.
- Create new jobs, enhance local living standards, and challenge firms to stay competitive in a challenging global marketplace.
- Pay higher wages and provide better benefits than domestic-only firms.
- Since the 1980s, the proportion of world population living in poverty has declined, with much of this improvement attributable to increases in world trade, entrepreneurship, and globalization.
- Need access to foreign markets in order to recoup their return on investment, especially firms heavily invested in R&D, e.g., those in the pharmaceutical industry.
- Increase living standards and decrease illiteracy rates worldwide
- A good economy and a clean environment are not mutually exclusive. The more affluent people are, the more they will care about their environment and pass laws to protect it.
- Underscores the importance of being good global citizens:
 - **Motorola** has profited from its business in China, but it has also contributed to the development of educational systems in that country.
 - **Coca-Cola** earns big profits from its business in Africa, but it also contributes to developing educational systems on that continent.
 - Japanese MNEs invest in the communities where they do business.
 - **Bill Gates** is going to do more than any government to get people computers and get them connected to the Internet. He has created the largest fund to combat diseases of the poor, e.g., Malaria. He and **Warren Buffett** are tackling many of these diseases such as AIDS.
 - **GlaxoSmithKline** is working with the World Health Organization to find a cure for Elephantiasis.
- Over time, governments pass legislation that promotes improved environmental conditions.
- **Example:** Japan endured polluted rivers and smoggy cities in the early decades of its economic development following World War II. As Japan's economy grew, the Japanese passed tough environmental standards, aimed at restoring natural environments.
- In the long run, uninterrupted international commerce is good for everyone.

Globalization: CONS

- **Negative consequences** of market globalization: The transition to an increasingly single, global marketplace poses challenges to individuals, organizations, and governments.
- Loss of national sovereignty

- Offshoring and flight of jobs
 - Effect on the poor
 - Effect on the natural environment
 - Effect on national culture
- Commensurate with the increase in the standard of living and influx of workers, comes congestion, pollution, high rents, a raucous nightlife, and Western values.
- Globalization has created countless new jobs and opportunities around the world, but it has also cost many people their jobs.
- **Examples:** Ford, General Motors, and Volkswagen all have transferred thousands of jobs from their factories in Germany to countries in Eastern Europe.
- In recognition of this, the German government relaxed Germany's labor laws to conform to global realities, but not before the lives of tens of thousands of German citizens were disrupted.
- GM and Ford have also laid off thousands of workers in the U.S., partly the result of competitive pressures posed by Japanese, Korean, and European carmakers.

UNINTENDED CONSEQUENCES OF GLOBALIZATION

Contagion: Rapid Spread of Monetary or Financial Crises

- **2008:** The world economy experienced a severe financial crisis and global recession—the worst in decades.
 - In international economics, **contagion** refers to the tendency for a financial or monetary crisis in one country to spread rapidly to other countries, due to the ongoing integration of national economies.
 - **Catalyst:** Although the crisis began in the U.S., national economies and banking systems had been integrated through **technology**, so the contagion spread quickly around the globe.
 - The financial crisis struck at the core issues of globalization and raised questions about its merits.
 - **Exhibit 2.9** depicts the GDP growth of many countries, 2013–2022.
 - Most nations experienced positive growth.
 - **China** and **India** have been the fastest growing economies, registering annual GDP growth rates of 9.0 percent and 7.0 percent, respectively. However, China's growth slowed to about 6.5 percent in 2017–2019.
 - Most African countries continue to suffer low or negative GDP growth and alarming poverty, which worsened during the global recession.
- **Historical Learning Point:** Even following deep recessions, the global economy has always returned to net GDP growth.
- **Global Interconnectedness:** Living standards have been severely affected and millions of people worldwide have fallen into severe poverty. This occurred largely because developing economies depend on exports to, and direct investments from, the advanced economies that have all been hurt by the crisis.

Globalization:

- Ignores human rights and employs substandard working conditions—low wages and exploited workers.
- Results in domestic job losses.
- Detrimently affects the natural environment—with increased international trade, the more irreparable the harm, e.g., pollution, ecological imbalances and deterioration of the ozone. (Countries with weak environmental standards will have factories with minimal environmental standards.)
- Poverty resulting from contagion caused by the recent economic crisis resulting from COVID-19.
- Interferes with the sovereignty of national governments.
- Impedes with government policies, e.g., when Apple or Toyota are bigger than most countries in Africa; it is more difficult for governments to manage policies regarding taxes, monetary policy, social issues, and exchange rates.
- Imposes Western cultural standards on the rest of the world, e.g., McDonald's is everywhere. They see U.S. as a dominating power that uses globalization to its own advantage, harming the economic, cultural, and environmental interests of the rest of the world.
- Limits the benefits of technologies to those who can afford to access it.
- Widens the gap between rich and poor, i.e., weakening poor countries.
- As inequality grows, people have less and less in common.
- Multinational companies exploit poor countries and expose their people to harmful competition.
- Infant industries in developing economies can't make it when they're confronted with the power of giant multinational firms.
- Governments have not done enough to regulate the excesses of capitalism. This was evident in the global financial and economic crises, from which the world is still recovering.
- *Sovereignty* is the ability of a nation to govern its own affairs.
- One country's laws cannot be applied or enforced in another country.
- **Globalization** can threaten national sovereignty.
 - MNE activities can interfere with the sovereign ability of governments to control their own economy, social structure, and political system.
 - Some corporations are bigger than the economies of many small nations, e.g., Walmart's total revenue is larger than the GDP of some nations, including Israel, Greece, and Poland.
 - Large multinationals can exert considerable influence on governments through lobbying or campaign contributions to influence legislation, e.g., a devaluation of the home currency would allow them greater price competitiveness in export markets.
- Still, even the largest firms are constrained by **market forces**.
- The resources that buyers and suppliers control are the result of free choice.
- In reality, market forces dominate companies.
- Some argue that gradual integration of the global economy and increased global competition combined with privatization of industries in various nations are making companies **less powerful**, e.g., Ford, Chrysler, and General Motors have become less

dominant in U.S. auto market, with many more firms competing in the U.S., including Toyota, Honda, Hyundai, Nissan, Volkswagen, BMW, and Tesla.

- Home-country market shares of domestic U.S. automakers have tumbled.

- To minimize globalization's harm and reap its benefits, governments should strive for an open and liberalized economic regimes:

- (1) Freedom to enter and compete in markets;
- (2) Protection of private and intellectual property;
- (3) Law enforcement;
- (4) Support voluntary exchange through markets versus political processes.
- (5) Appropriate regulation of banks and financial institutions.

- Ask students to discuss the recent bank failures of Silicon Valley Bank (SVB), First Republic Bank (FRB) and Signature Bank—accounting for 2.4 percent of all assets in the banking sector.

★ Transparency of business and regulatory agencies is critical.

- Governments sometimes scrutinize corporate activity, e.g., Sarbanes-Oxley Act of 2002 in U.S.

- This legislation was a response to a series of major corporate and accounting scandals including those involving Enron, Tyco International, and WorldCom.

- A decline in public trust of accounting and reporting practices led to this legislation which introduced new/enhanced standards for all U.S. public company boards, management, and public accounting firms.

Offshoring and the Flight of Jobs

- **Offshoring** is the relocation of manufacturing and other value-chain activities to cost-effective destinations abroad.

- This creates countless new jobs and opportunities worldwide, but also costs many people their jobs.

- **Examples:**

- **Ford, General Motors, and Volkswagen** all have transferred thousands of jobs from their factories in Germany to countries in Eastern Europe.

- Partially due to mandated shorter working hours (often just 35 hours per week) and generous benefits made Germany less competitive, while Eastern Europe offers abundant low-wage workers.

- In reaction, the German government loosened Germany's labor laws to conform to global realities, disrupting the lives of tens of thousands of German citizens.

- **Ford and General Motors** have also laid off thousands of workers in the U.S., resulting from competitive pressures from Europe, Japan, and South Korea.

- **Ernst & Young** relocated much of its accounting support work to the Philippines.

- **Massachusetts General Hospital** has its CT scans and X-rays interpreted by radiologists in India.

- Many IT support services for customers in Germany are based in the Czech Republic and Romania.

Offshoring Waves

- Offshoring has resulted in **job losses** in many mature economies with relatively high wages.

- **1960s–1970s:** The first wave of offshoring began with the shift of U.S. and European manufacturing of cars, shoes, electronics, textiles, and toys to cheap-labor locations such as Mexico and Southeast Asia.

- **1990s:** The next wave ensued with the exodus of service sector jobs in credit card processing, software code writing, accounting, health care, and banking services.

- Multinationals have been the focus of criticisms, labeled as “runaway” or “footloose” corporations—quick to relocate production to countries that offer better comparative advantages.

■ Examples-

- **Polaris**, U.S. manufacturer of snowmobiles and all-terrain vehicles, moved its Osceola, Wisconsin, factory to Mexico. Closure of the plant, which once provided 515 jobs, devastated the small Wisconsin community, population 2,085. Management shifted manufacturing to Mexico in order to reduce production costs.

- **Toyota** closed a Camry factory in Australia, resulting in the loss of thousands of jobs.

- **Electrolux**, a Swedish manufacturer of home appliances, moved its Greenville, Michigan, refrigerator plant to Mexico. Electrolux had provided 2,700 jobs in this western Michigan community of 8,000. Despite repeated appeals by the local community, the labor union, and the State of Michigan, offering incentives to the company to stay, Electrolux went with its decision to shift manufacturing to Mexico.

- **COVID-19** pandemic resulted in various plant closures in **2020** and beyond.

- MNEs do create millions of jobs abroad, which help raise living standards.

- **Example:** U.S. MNEs now employ about one million workers in each of Canada, China, Mexico, and the UK. Such positions help raise living standards in developing economies and emerging markets.

- Advantages of offshoring:

- (1) Economies of scale by centralizing production locations;
- (2) Low-cost labor advantages in certain countries; and
- (3) Knowledge-sharing from contracting with experienced suppliers.

- Those facing intense competition, shrinking profit margins, and unfavorable industry trends, may achieve corporate survival through offshoring.

- Countries with low-cost inputs and more favorable business environments clearly benefit from offshoring, e.g., China, India, Mexico, Brazil, and Poland.

Reshoring and Nearshoring

- **Reshoring:** The return of manufacturing and services back to the home country (opposite of offshoring).

■ Examples:

- **Ford** and **Boeing** have *reshored* thousands of jobs back to the U.S.
- **General Electric** *reshored* the production of energy-efficient water heaters from China back to U.S. in order to manage inventory and transportation costs better.
- **Symington's**, a British food company, moved noodle production from China back to England in order to improve product quality, increase delivery speed, and manage the supply chain more effectively.
- **Apple** returned some computer manufacturing to the U.S.

■ Reshoring rationale

- Rise of wages and other costs in emerging markets
- Desire get closer to key customers in the advanced economies

■ Reshoring Trends

- Accelerated in recent years.
- Producing goods in Germany, Japan, U.S. and other advanced economies has long been expensive, mainly due to the higher cost of labor.
- However, manufacturing in such countries recently has become more viable due to the automation of production, through the increased use of AI and robotics
- Several additional factors have led many U.S.-based companies to establish new manufacturing operations in U.S.
- These include:
 - Rising trade tensions with China
 - Disruptions in global supply chains
 - New costly tariffs on imported goods
 - Rising wages and other business costs in emerging market countries
- U.S. industries that have benefited from reshoring especially in electric vehicles, batteries, semiconductors, and liquid natural gas.

■ Nearshoring

- *Nearshoring* is similar to reshoring and refers to the relocation of manufacturing and services to a nearby country, often sharing a border with the home country.
- Nearshoring provides advantages over reshoring as the firm often can obtain all the benefits of reshoring while being able to access low-cost labor, lower transportation costs, and fewer differences in culture and language.
- **Example:** Apparel industry—China and Honduras both offer lower cost manufacturing advantages.
- However, Honduras is much closer to Europe and U.S. than is China.
- Consequently, many firms in the apparel industry based in Europe and U.S. opt to locate manufacturing in Honduras due to lower transportation costs.
- In the wake of the COVID-19 pandemic and rising trade tensions with China, many U.S. companies relocated manufacturing from China to Mexico.
- A 2023 survey of supply chain professionals found that many U.S.-based firms that currently manufacture product overseas (particularly in Asia) planned to nearshore their supply chains to **Mexico**.

■ Reasons to make the change to Mexico:

- Shorter supply chains
- Competitive labor costs
- Superior transportation infrastructure

Effect on the Poor

■ **Income distribution** refers to the allocation of GDP and national income among the members of a society.

■ In some countries, a relatively small minority, often less than 10 percent, hold most of the country's wealth, and the great majority of citizens live in poverty.

■ Income inequality is substantial in several nations in Southern Africa and in Latin America.

■ Advanced economies—income inequality is less of a factor in Japan and most countries in Northern Europe due mainly to cultural factors and public policies.

■ Income inequality is relatively more common in the U.S., which is home to many highly paid executives and other wealthy individuals.

■ **Example: Nike** has been criticized for paying low wages to shoe factory workers in Asia, some of whom work in sweatshop conditions. Critics complained that while founder Phil Knight is a billionaire and Nike shoes sell for \$100 or more, some of Nike's suppliers pay their workers only a few dollars per day.

■ Income inequality: Complex and dynamic

■ Creation of new manufacturing jobs has increased wages for many individuals in China, Mexico, and other emerging markets; income levels in those same countries for other groups have remained relatively stagnant.

■ Automation and technology have resulted in lower incomes for many people.

■ Demand for high-skill workers has increased. Demand for lower-skill or less-educated workers has decreased b/c jobs that were historically done by low-skill workers are now performed by machines and digital platforms.

■ Criticisms of MNEs: Globalization can worsen income inequality.

- High-value jobs remain in home country

- Low-value jobs, e.g., production translates to low wages in lower-cost countries, e.g., Mexico and Vietnam

- Worker exploitation

- Child labor employment

■ Child labor is particularly troubling because it denies children educational opportunities that would contribute to their future development.

■ International Labor Organization (www.ilo.org) reports that over **215 million** children **aged 5–17** work worldwide.

■ **73 million** children are believed to work in hazardous conditions.

■ Labor exploitation and sweatshop conditions are genuine concerns in many developing economies.

■ Unfortunately, consideration must be given to the other choices available to people in those countries.

■ **A low-paying job may be better than finding no work at all.**

Negative Unintended Consequences

- Reduced living standards.
- Legislation that reduces child labor in the formal economic sector may have little effect on jobs in the informal economic sector (*underground economy*).
- Eliminating child labor does not automatically make children go to school instead of to work, and can worsen their living standards.
- The concept of **Ethical Relativism** is important here, i.e., ethics can only be judged within its own context. Examining the job portfolio in Country X, if commensurately skill-based jobs pay similar wages, then relative to that country, the wages are reasonable. Relative to U.S. standards, they may not be. Also, although child labor is deplorable, U.S. exploited children in much the same way until the Child Labor laws were passed.
- Countries that attract investment due to low-cost labor eventually lose their attractiveness as wages rise.
- The unintended consequences of globalization place greater responsibility on governments to ensure that the fruits of economic progress are shared fairly, and all citizens have access to improved welfare, living standards, and higher-value-adding, higher-paying jobs.

Positive Long-Term Consequences

- For most developing countries, globalization supports improved working conditions, higher wage growth, a growing economy and improved standards of living.
- **Example:**
 - **Vietnam:** The growth of the footwear industry in Vietnam translated into a five-fold increase in wages.
- Countries that liberalize international trade and investment enjoy faster per-capita economic growth.
- Developing economies that seek to integrate with the rest of the world tend to have faster per-capita GDP growth.
- **Exhibit 2.9** depicts the GDP growth of many countries, 2013–2022.
- Most nations experienced positive growth.
- **China** and **India** have been the fastest growing economies, registering annual GDP growth rates of 9.0 percent and 7.0 percent, respectively. However, China's growth slowed to about 6.5 percent in 2017–2019.
- Most African countries continue to suffer low or negative GDP growth and alarming poverty, which worsened during the global recession.
- **Exhibit 2.10** illustrates how global poverty is declining over time. Specifically, it reveals the income levels of people in developing economies.
 - Poverty remains a major factor in South Asia and sub-Saharan Africa (that part of Africa below the Saharan Desert), but even those areas have made much progress in the past decade.

- The Middle East and North Africa, Latin America, and East Asia are home to billions of people whose daily incomes have risen substantially
- Overall, the number of people living in poverty in East and South Asia and Sub-Saharan Africa has declined consistently for the past few decades.
- Much of the improvements are due to international trade and investment activities.

- Developing countries can engage in a number of proactive measures in order to reduce poverty:
 - Improve conditions for investment and saving;
 - Liberalize markets and promote trade and investment;
 - Build strong institutions and ensure good governance; and
 - Invest in education and training to promote productivity upward mobility.
- In turn advanced economies can play a role in reducing global poverty by:
 - Making their markets more accessible to low-income countries;
 - Providing debt relief to heavily indebted nations; and
 - Facilitating the flow of technology, private capital, and direct investment into poor countries.

Effect on Sustainability and the Natural Environment

- Globalization harms the environment by promoting manufacturing and economic activity that result in **pollution, habitat destruction, and deterioration of the ozone layer**.
- **Example: China** is attracting much inward FDI and stimulating the growth of numerous industries, which results in new factories, infrastructure, and modern housing can spoil previously pristine environments; also, growing industrial demand for electricity led to construction of the **Three Gorges Dam**, which flooded agricultural lands, displaced one-million inhabitants and permanently altered the natural landscape of Eastern China.
- Over time, governments pass legislation that promote improved environmental conditions; as globalization stimulates rising living standards; increasingly people focus on improving their environments
- **Example: Japan** endured polluted rivers and smoggy cities in the early decades of its economic development following World War II. As Japan's economy grew, the Japanese passed tough environmental standards to restore their natural environments.
- Evolving company values have led to **Corporate Social Responsibility (CSR)** or **Corporate Citizenship**.
- **Examples** of firms that embrace practices that protect the environment, often at the expense of profits
 - **Ford** and **GM** (U.S. automakers) in Mexico
 - **Alcan** in Canada (aluminum)
 - **Kirin** in Japan (beverages)
 - **Google** in U.S. (Internet)
 - **Benetton** in Italy (clothing)

■ The **Conservation Coffee Alliance**, a consortium of companies, has committed approximately \$2 million to environmentally friendly coffee cultivation in Central America, Peru, and Colombia.

■ **Valeo**, a French innovative manufacturer of parts and components, makes powertrain systems and other components that reduce CO₂ emissions by increasing the proportion of electrical power in vehicle engines.

- Valeo customers include Toyota, Volkswagen, and numerous other major automakers worldwide.
- They produce energy-efficient electric motors for cars, scooters, and bicycles, and also heating and air conditioning systems for cars that minimize electricity usage and air pollution.
- For electric vehicles, they offer cooling systems that maintain batteries at an ideal temperature to minimize energy usage while driving.
- They are a global leader in waste reduction, recycling, and the remanufacture of end-of-life alternators, transmissions, and other auto components.

Effect on National Culture

- Globalization pressures national culture.
 - Market liberalization opens the door to foreign firms, global brands, unfamiliar products, and different values.
 - In the business sector, firms employ global technologies and production methods, leading to more universal operating methods and outputs.
 - Hollywood dominates the global entertainment industry.
 - Propelled by advertisements and Hollywood, consumers increasingly wear similar clothing and drive similar cars, watch the same movies, listen to the same recording stars increasingly modeled to advanced countries, especially U.S.
 - Thus, people's norms, values, and behaviors tend to **homogenize** over time.
 - Transnational advertising leads to the emergence of societal values
- **Critics** call these trends the “McDonalds-ization” or the “Coca-Colonization” of the world, referring to a type of cultural colonization.
- Governments try to block “**cultural imperialism**” and prevent the erosion of local traditions.
- Hollywood, McDonald's, and Disneyland are seen as Trojan horses that permanently alter food preferences, lifestyles, and other aspects of traditional life and national sovereignty—inevitable with globalization.
- **Homogenization** is accelerated by technology—through exposure, appetites grow for Western products and services, which signal higher living standards.
- **Example:** Despite low per-capita income, many Chinese buy consumer electronics such as smartphones and TV sets.
- Global media have a pervasive effect on the local culture, gradually shifting it toward a universal norm.

■ Cultural influence flows both ways.

■ Examples:

■ **India:** Cafe Spice (<http://cafespice.com>) is an Indian food company whose founder hails from Mumbai, which is transforming American tastes by selling curry dishes and other Indian favorites in cafeterias and supermarkets. Cafe Spice is making Indian cuisine mainstream in U.S.

■ **China:** As the influence of the Chinese economy grows over time, Western countries will likely adopt cultural norms from China as well. Chinese restaurants and some Chinese traditions are already a way of life in much of the world outside China.

■ **Japan:** Advanced Fresh Concepts is a Japanese food company that is transforming American fast food by selling sushi and other Japanese favorites in supermarkets throughout U.S.

■ **Cultural imperialism** is offset by the countertrend of **local nationalism**.

■ **Heterogeneity** remains strong in religious differences, indigenous languages and national identity.

■ **Protecting National Identity**

■ **Examples:** In Belgium, Canada, and France, laws were passed to protect national language and culture.

2-20. Ethical Dilemma:

Northern Energy, Inc. (Northern) is a large oil company with production and marketing operations worldwide. You are a recently hired manager at Northern's subsidiary in Nigeria, which provides jobs to hundreds of Nigerians and supports many local merchants and suppliers. Suppose Northern's drilling and refining practices have severely damaged the natural environment in Nigeria, polluting the air, land, and water. As a result, Northern has faced violent protests and much negative publicity in Nigeria. Develop suggestions on how Northern should address these issues. Keep in mind that top management is reluctant to invest significant new resources in Nigeria, given the firm's weakening business performance there.

(LO 2.3; LO 2.4; LO 2.5; LO 2.6; AACSB: Analytical thinking)

■ The dilemma in this situation is that Northern's business practices are harming the natural environment in Nigeria. The air, land, and water have all been polluted. This has resulted in violent protests against Northern by the Nigerians.

■ The facts are as follows: Top management is reluctant to send additional resources to their Nigerian operations. Northern Energy is responsible for the pollution. The local stakeholders are not happy with Northern Energy.

■ There are two courses of action: First is to pull out all operations in Nigeria and then work with the local government to clean up the mess Northern created. This would mean incurring the losses associated with closing down the factories and laying off the workers. However, the air, land, and water pollution would be mitigated as Northern would cease its Nigerian operations.

■ The second option is to formulate and implement sustainability goals commensurate with good corporate citizenship. Such a socially responsible restructuring of Northern's

business practices would mitigate the pollution, cast Northern in a more favorable light, and most likely raise the cost of doing business. A cost-benefit analysis might be a prudent next step in the due diligence process.

- The first option is the easier of the two. It pulls Northern out of the area and halts the pollution. However, this decision does not really fall under any of the ethical approaches. Northern would exit Nigeria, not attending to the already created pollution.
- The second option is the best solution from the Nigerian perspective, but the most challenging for Northern. Not only would Northern be completely changing its corporate profile, to one representing corporate social responsibility, but the opportunity also exists for turning a weak business situation into a strong one in terms of profitability. It is not only utilitarian, as Northern would be helping themselves and the Nigerians, but it would also benefit the common good of the community.
- Instituting both economic and social goals would translate into improving both the environment and Northern's performance. Some would argue that Northern has taken advantage of the Nigerians and encroached upon their rights to a clean environment. The opportunity presents itself to turn this around. Northern should initiate the search for newer, cleaner, and more socially responsible business practices with regard to the Nigeria situation. Perhaps clean energy or alternative energy sources might be explored by Northern. Partnerships with other firms who have already initiated the exploration for cleaner energy might be a good strategy.
- For example, ask students to look up Sasol Limited (<http://www.sasol.com>) and their proprietary technology implemented in South Africa and other sub-Saharan nations.

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AACSB and CKR Intangible Human Skills to improve employability and success in the workplace: Written and Oral Communications, Information Technology, Analytical thinking, Diverse and Multicultural Work Environments, Application of Knowledge

2-21. The KOF Swiss Economic Institute prepares the annual *KOF Index of Globalization*, which ranks the most globalized countries (enter “KOF Index of Globalization” at [globalEDGE™](http://globaledge.msu.edu) or other search engine). The index uses three different dimensions to measure globalization: *economic globalization*, *political globalization*, and *social globalization*. Visit the index and explain what each dimension represents, and why each is important for a nation to achieve a substantial presence in the global economy.

(LO 2.3; LO 2.4; LO 2.5; LO 2.6; AACSB: Analytical thinking)

- The KOF Index of Globalization uses three dimensions to measure globalization: economic globalization, political globalization, and social globalization.
- Each of the three dimensions is determined using sub-indices.

- **Economic globalization is determined by the following sub-indices:**

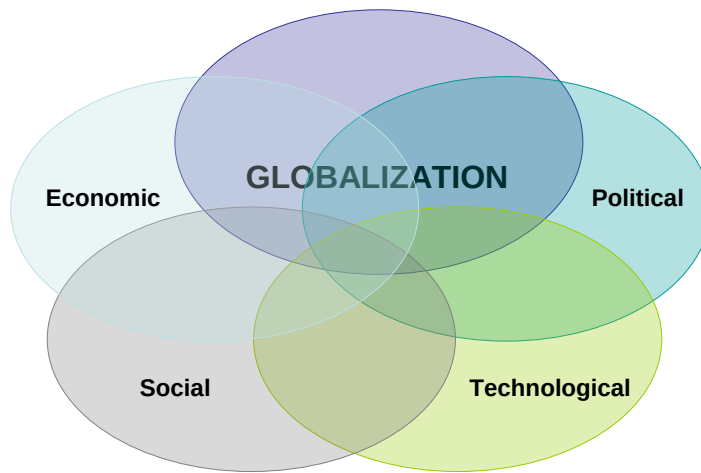
- Actual Flows
 - Foreign Direct Investment, stocks
 - Income Payments to Foreign Nationals
 - Portfolio Investment
 - Trade
- Restrictions
 - Mean Tariff Rate
 - Taxes on International Trade
 - Hidden Import Barriers
 - Capital Account Restrictions

- **Political globalization is determined by the following sub-indices:**

- Membership in International Organizations
- International Treaties
- Embassies in Country
- Participation in U.N. Security Council Missions

- **Social globalization is determined by the following sub-indices:**

- Data on Personal Contact
 - International Tourism
 - Telephone Traffic
 - International Letters
 - Foreign Population
 - Transfers
- Data on Information Flows
 - Television
 - Internet Users
 - Trade in Newspapers
- Data on Cultural Proximity
 - Number of Ikea Retail Stores
 - Number of McDonald's Restaurants
 - Trade in Books



Although the index uses three dimensions for globalization—economic, political and social—a fourth dimension should also be considered, that of technological, which integrates the world through technology, primarily, the Internet.

Technological Integration

Information and communication technology (ICT) continues to spread the globe as more and more countries enlarge their ICT infrastructures. Internet connections are a powerful accelerator of globalization. As countries see the value of access to information and the burgeoning of knowledge-driven economic activities, they are achieving greater ICT integration as Internet use and access throughout the world continue to expand rapidly. The total number of Internet users worldwide near hovers near one billion. The trend to Internet usage continues to grow. The primary driving force behind Internet use and access is the growth occurring in developing economies. The rapid expansion in ICT adoption and consumer demand for Internet access is fueled by declining costs of connectivity and personal computers, which is augmented by high population growth and a growing proportion of savvy young people.

Each of the four components is important for a nation to achieve a substantial presence in the global economy. The components are interconnected, integrated, and impacted by the other three.

- Countries, particularly emerging and developing ones, cannot afford to bypass the economic gains by refusing to participate in world economic integration or setting up trade and investment barriers to lessen the positive impact of globalization.
- Emerging markets continue to politically organize or reorganize as regional partners to enhance economic growth.

- More countries are becoming members of international organizations such as the WTO and financial and personnel contributions to peacekeeping organizations such as the United Nations continue to rise as new countries see the value of globally assisting others in times of need.
- Globalization allows firms and consumers to view the world as one large marketplace—it is important for nations to achieve a presence in the global economy in order to compete in that marketplace and to overcome conditions of poverty.

2-22. Production in the manufacturing and services sectors increasingly has been outsourced to lower-cost locations abroad. The [globalEDGE™](#) website has various resources that detail the nature and location of jobs that have been transferred abroad. Some experts note that the resulting foreign investment and increased demand in lower-cost countries are causing wages to rise in those countries, eliminating cost advantages from offshoring and narrowing the income gap between advanced economies and low-cost countries. In other words, offshoring is helping to reduce poverty in less developed economies. Others believe that manufacturing jobs will be consistently moved to lower-cost countries, turning China, India, and other emerging markets into top platforms for innovation and production. What do you think? Find three articles about outsourcing at [globalEDGE™](#) by doing a search using the keywords “global outsourcing” or “offshoring,” and write a report on the most likely consequences of these trends for your country, its workers, and its consumers.

(LO 2.3; LO 2.4; LO 2.5; LO 2.6; AACSB: Analytical thinking)

Consequences of offshore outsourcing for country, workers, and consumers

- Offshore outsourcing effects at the country level. At the macroeconomic level, there are benefits and costs to offshore outsourcing. My country is doing much offshoring because of the higher costs associated with its manufacturing and service sectors. Even though its transportation, information, telecommunication, and energy infrastructures are excellent and political instability, bureaucracy and corruption are low; global costs disadvantages for businesses renders it somewhat unattractive for offshore outsourcing inflows. Information technology, website design, software development, backroom operation, call-center, product design (development), research and development services are being “farmed out” at a rapid pace. My country’s economy can benefit from global outsourcing. For example, the study reveals that home-country companies saved close to US\$11 billion by outsourcing to India, and India, in turn, bought approximately US\$3 billion in high-technology imports from us during the same period. Thus, if firms in my country can reduce their cost structure, the entire economy here gains.

Offshore outsourcing effects at the workers' level.

- Companies that are planning to participate in global outsourcing are reducing employment opportunities for local workers in the blue-collar and white-collar areas. However, as companies insatiably search for lower cost, high productivity, greater efficiency and customer service continues, high-skilled, white-collar employment (e.g., computer programming, software development, website design, product design, information technology) have joined the race. As information technology (IT) employees, in particular, witness their jobs moving offshore in a bad economy, opposition to globalization could resurface stronger than ever. Thus, many observers feel that outsourcing claims jobs, suppresses wages, and hurts local innovation. If innovation tends to follow jobs, key drivers of local economic prosperity could vanish. By contrast, executives believe the global outsourcing makes their firms more competitive. By shifting product design work and other related work offshore, for example, production can often remain in this country. Offshoring might be seen as a contributor to corporate growth, as a facilitator of better skilled use of home-country staffs, and as a creator of jobs in the long run. Some economists feel that the “reabsorption effect” (i.e., displaced workers are reabsorbed into other areas of the economy) as a result of global competition is good for the local economy ultimately. Higher per worker productivity can lead to greater corporate profits and higher average salaries.

Offshore outsourcing effects at the consumers' level.

- As firms in my country increase their global competitiveness via lower costs, greater efficiency, productivity, quality, better service and revenues, conceivably, local consumers will experience lower prices for products and services that benefited from offshore outsourcing. For example, Nike and Levi Strauss have outsourced their production value-chain activities to offshore companies for their sport shoes and apparel for many years. Conceivably, this has allowed them to keep the cost of these goods lower than otherwise would be possible.

2-23. A key characteristic of globalization is the increasingly integrated world economy. MNEs and many nations have a stake in maintaining the globalization trend. If the trend were somehow reversed, participants in international business, such as exporters, likely would suffer big economic losses. In many ways, globalization's role in the world economy is critical. But just how big is the global economy? What is the extent of international trade relative to the size of the global economy? What is the proportion of international trade in the GDPs of each of the following countries: Australia, Canada, Sweden, United Kingdom, and the United States? Consult [globalEDGE™](#) to address these questions.

(LO 2.4; AACSB: Analytical thinking)

- Globalization refers to the gradual integration and growing interdependence of national economies. Globalization allows firms to view the world as an integrated marketplace that includes buyers, producers, suppliers, and governments in different countries. Globalization is manifested by the production and marketing of branded products and services worldwide. Declining trade barriers and the

ease with which international business transactions take place due to the Internet and other technologies are contributing to a gradual integration of most national economies into a unified global marketplace.

- The globalization of markets is evident in several related trends. First is the unprecedented growth of international trade. In 1960, cross-border trade was modest—about \$100 billion per year. Today, it accounts for a substantial proportion of the world economy, amounting to some \$25 trillion annually—that is, \$25,000,000,000,000! Second, trade between nations is accompanied by substantial flows of capital, technology, and knowledge. Third is the development of highly sophisticated global financial systems and mechanisms that facilitate the cross-border flow of products, money, technology, and knowledge. Fourth, globalization has brought about a greater degree of collaboration among nations through multilateral regulatory agencies such as the World Trade Organization ([WTO; www.wto.org](http://www.wto.org)) and the International Monetary Fund ([IMF; www.imf.org](http://www.imf.org)).
- Export growth has outpaced the growth of domestic production during the last few decades, illustrating the fast pace of globalization. Much of the difference in the growth of exports versus GDP is due to advanced (or developed) economies such as Britain and the United States now sourcing many of the products they consume from low-cost manufacturing locations such as China and Mexico. For example, although the United States once produced most of the products it consumed, today it depends much more on imports. Rapid integration of world economies is fueled by such factors as advances in information and transportation technologies, decline of trade barriers, liberalization of markets, and the remarkable growth of emerging market economies.

■ During the global recession, China surpassed U.S. as the world's leading exporter in total dollar terms, trade accounts for about **30** percent of its GDP (in the U.S., trade is **19** percent of its GDP).

■ **Entrepôt economies** (*intermediate depot*; exports = imports): Singapore, Hong Kong, Malaysia, and the Netherlands export more than 100 percent of their respective GDPs.

■ *Entrepôt* is from the French for “intermediate depot.”

■ For other economies, merchandise trade is a much larger component of economic activity, e.g., Netherlands (157 percent), Mexico (77 percent), Germany (72 percent), and South Korea (70 percent).

■ Such countries import a large volume of products, some of which they process into higher value-added products and some they simply re-export to other destinations.

■ Access to adjacent markets. Singapore is a major entrepôt for Southeast Asia, e.g., for transshipping petroleum products that it receives from the Middle East. Hong Kong is an entrepôt for China. The Netherlands is an entrepôt for the greater European Union.

- In terms of the proportion of international trade in the GDPs of each of Australia, Canada, Sweden, United Kingdom, and the United States, the data are available from the World Trade Organization (www.wto.org), globalEDGE™, and the CIA World Factbook (www.cia.gov). The World Factbook is the most straightforward

source. According to it, recently the GDP and combined exports and imports of Australia were \$851 billion and \$325 billion, respectively. This implies that trade amounted to about 38 percent of the country's GDP (325/851).

- The GDP and combined exports and imports of Canada were \$1.28 trillion and \$650 billion, respectively. This implies that trade amounted to about 51 percent of the country's GDP. The GDP and combined exports and imports of Sweden were \$331 billion and \$252 billion, respectively. This implies that trade amounted to about 76 percent of the country's GDP. The GDP and combined exports and imports of the United Kingdom were \$2,128 billion and \$843 billion, respectively. This implies that trade amounted to about 40 percent of the country's GDP. The GDP and combined exports and imports of the United States were \$14.14 trillion and \$2.61 trillion, respectively. This implies that trade amounted to about 18 percent of the country's GDP.

2-24. Globalization refers to the reduction barriers to trade and investment, which is facilitating the internationalization of countless firms. Globalization is quickening and affecting firms around the world. Globalization is associated with various issues and challenges that confront firms as they undertake international business. Among the major issues are the condition of the global economy; indebtedness of national governments; power shifts to emerging markets; and country risk in the developing economies. Visit [globalEDGE™](#) and enter the key word “globalization”. Explore the information and websites that emerge from your search. Write a report on the most important contemporary issues that firms are facing as they undertake international business.

(LO 2.2; AACSB: Reflective thinking)

■ A [globalEDGE™](#) search yields information on the following issues facing international firms:

- Global sourcing
- Labor laws
- Global financial crisis
- Lack of education in emerging and developing economies
- Effects of capitalism on national identity
- Poverty
- Energy supply and usage
- Balance between environmental protection and economic development
- International enforcement of human rights
- Sovereignty
- Legal systems of the world
- Challenges to women's rights
- Potential of mass media to mislead public
- Censorship
- Exchange rate
- Ethics
- Finding qualified buyers

- Assessment
- Negative effects of regionalization
- International negotiations
- World religions
- Global branding
- International trade law
- Logistics and transportation
- Etiquette
- Terrorism
- Competition and cooperation

The most important contemporary issues that firms are facing as they undertake international business: (Results—20 from a total of 1485)

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[The Economist - Globalization >> globalEDGE: Your source ...](#)

Articles cover a wide range of international business issues affecting the world economy, including **globalization**. In this ...

<http://globaledge.msu.edu/global-resources/resource/1141>

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A guide to **globalization** developed by the Center for International Education (CIE) at the University of Wisconsin-Milwaukee (UWM). ...

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Created in 2001 in the Nottingham School of Economics, the Leverhulme Centre for Research on **Globalization** and Economic Policy supports ...

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